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15 🐂 SHAREMARKET: DEEPENING OF CAPITAL MARKET

Since UPSC has not asked anything directly about share market in Mains (except Sovereign gold bond.) So, we will only prepare two general topics for GS/Essay

1. Deepening of the capital market
2. Corporate Governance.

Note for faster and easier revision. I will use the word Sharemarket, but when writing in the Mains, you should use proper formal terms such as Capital Market, Financial Market, Equities Market etc.

15.11 🐂 DEFINITION AND DATA RELATED TO SHAREMARKET

⇒ Capital market is a type of long term financial market where money is mobilized for a tenure of one year or more. Depending on the nature of the instrument, it could be debt finance or equity finance. (पूंजी बाजार एक प्रकार का दीर्घकालिक वित्तीय बाजार है जहां एक वर्ष या उससे अधिक की अवधि के लिए धन जुटाया जाता है। साधन की प्रकृति के आधार पर, यह ऋण वित्त या इक्विटी वित्त हो सकता है।)

⇒ Deepening of the capital market means increasing the participation of the retail investors and small investors in various instruments (पूंजी बाजार जड़ों को गहरा करने का मतलब है है विभिन्न उपकरणों में खुदरा निवेशकों और छोटे निवेशकों की भागीदारी बढ़ाना)

⇒ (Origin) Indian capital markets have seen a surge in retail activity through direct (trading in markets through their accounts) and indirect (via mutual funds) channels in the last few years.

Indicator	Crores
Total population	more than 140 crores
Total Voters	96.8 crores (2024-May)
Income Tax returns (ITR) form filers	9 crores (2025) = roughly 9% of voters
Income Tax Payers **(Recall Pillar2A1 for more on NTR-OTR)**	2.81 crores (2024-Dec) = 2.90% of voters. bcoz 66% of ITR filers have zero tax liability- due to no tax upto ₹12 lakh. (ref Prelims 2A1 HDT)
No. of DEMAT Accounts	21.6 crores accounts. 25% of them women. Total investment ₹84 lakh crore (2025)
Household savings in Sharemarket	2% (2012) to 15% (2025)

15.11.1 🎈📙ES24: Retail investors are increasing in Sharemarket because

⇒ Entry of (work-from-home) investors in the pandemic period (महामारी के बाद नए निवेशकों का प्रवेश।)

⇒ Apps / discount brokers like Zerodha, which allow people to buy and sell shares from their mobile app. (सस्ते ब्रोकर, मोबाइल आधारित ट्रेडिंग।।)

⇒ Growth of digital infrastructure, rapid smartphone penetration, - Mobile-friendly educational resources (डिजिटल अवसंरचना की वृद्धि,मोबाइल-शैक्षिक संसाधन)

⇒ Investor want inflation-proof returns (due to lower returns on fixed bank deposits) (महँगाई से बचा सके एसे निवेश के लिए लोग शेयर बाज़ार के प्रति आकर्षित होते हैं।।)

⇒ However, by 2022–23 the retail investors have collected their profit from Sharemarket by selling of their shares and diverting the profit-money towards real estate/gold.(हालाँकि 2023 में खुदरा निवेशकों ने अपना पैसा शेयर बाज़ार से निकाल के प्रॉपर्टी और स्वर्ण में लगाया है।)

15.12 🐂 Deepening of Capital Market necessary why / Significance?

⇒ ⬆ the participation of retail investors → companies can find fresh capital through shares/bonds/REITS/InvITS → helps in economic growth, job creation.

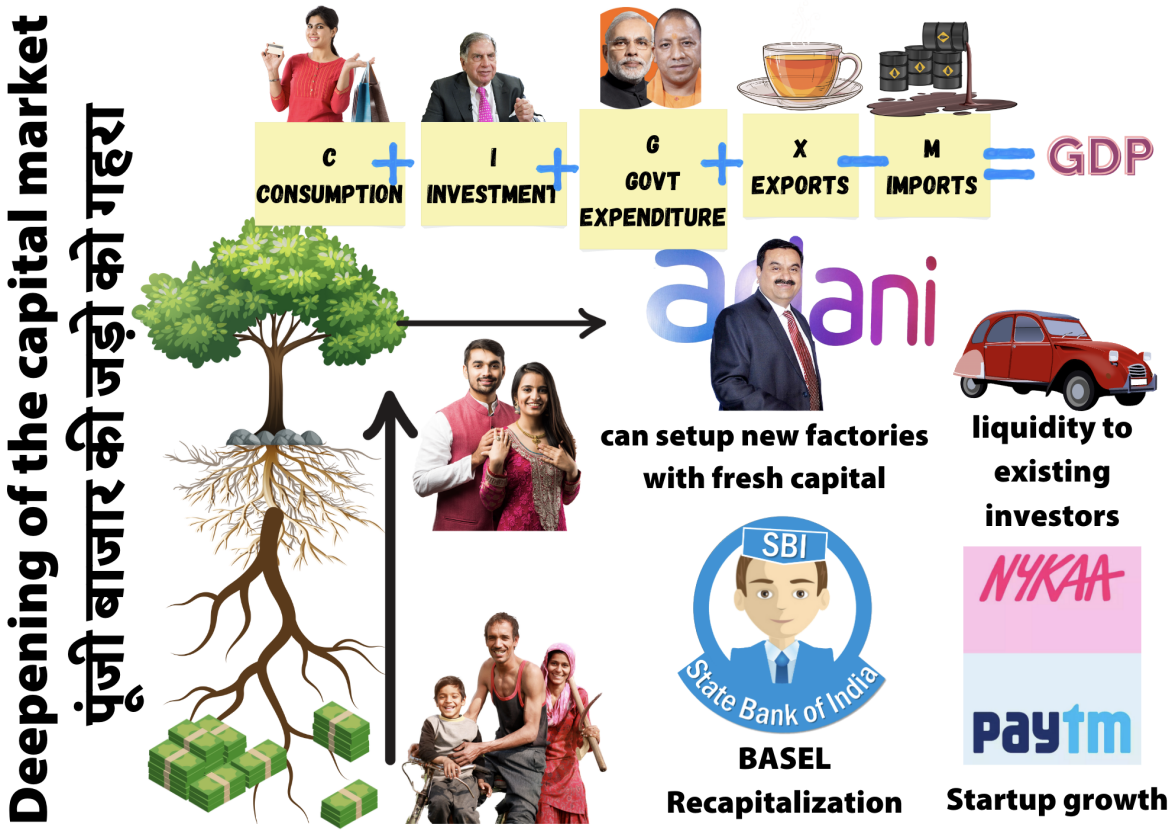
⇒ Fresh capital → balance sheets will be de-stressed → easier to resolve NPA through I&B resolution.

⇒ Bankers can easily comply with recapitalisation for Basel-3 norms (By issuing shares/bonds in capital market).

⇒ Providing Liquidity to Financial Assets. (तरलता बढती है क्योकि खरीदार मिल जाता है।)

⇒ Facilitating Price Discovery of a company's shares / bonds. (औकात पता चल जाती है कंपनी की।)

⇒ Investor sells securities in secondary market→ ₹₹ could be re-invested to a new company's IPO in primary market → Contributes to Economic Growth. (पुरानी घटिया कंपनी में से निवेश की रकम निकाल कर नई और बहेतर कंपनी में निवेश हो सकता है)



15.13 🐂 Steps taken by Authorities (RBI, SEBI, Govt)

15.13.1 🐂 🦁 Steps taken by Government

⇒ Abolished dividend distribution tax (DDT)

⇒ Merged forward markets commission with SEBI after NSEL scam.
⇒ issued regulations for electronic gold receipts to to reduce retail investors' craze for physical gold.
⇒ Setup Financial Stability & Development Council (FSDC) with FM as Chairman and Financial sector regulators as members.
⇒ CPSE-Exchange Traded Fund (ETF) for disinvestment with easy exit option for investor.
⇒ Minimum 25% public holding for shares of Govt owned companies.
⇒ Social Stock Exchange to help NGO/LGBTQ foundations to raise funds.
⇒ Corporate Affairs ministry's Investor Education Protection Fund (IEPF)
⇒ New bill to merge various laws regulating sharemarket.

15.13.2 🧸⚖️ Securities Markets Code Bill, 2025 (प्रतिभूति बाजार संहिता)

Before	After this bill
3 separate laws: - Securities Contracts (Regulation) Act, SCRA 1956, - SEBI Act 1992, - Depositories Act 1996	All merged into one single law: **Securities Markets Code** (३ कानूनों के विलिंनिकरण से बनी संहिता)
SEBI board has total **9 members**: - 1 Chairperson, - 1 official from RBI, -2 officials from Ministry of Finance & Corp.Affairs Ministry; - 5 "**other members**" (appointed by Central Govt)	Increase "other members" from 5 → **11** Total SEBI members become **15** (सदस्यों की संख्या में बढ़ौतरी)
Less clarity (व्यक्तिगत/ पारिवारिक हितों का टकराव)	Stricter conflict of interest rules: - Board members must disclose family members' business interests. Member cannot take part in decisions related to that company.
Less clarity (शिकायत निवारण अधिकारी)	New independent **SEBI-Ombudsman** (just like RBI Ombudsman or Insurance Ombudsman)
Even minor offences can lead to jail	Minor offences **decriminalized** → only fine/penalty (no jail) छोटे गुनाहों में जेल नहीं जुर्माना।

15.13.3 🐂🐅 Steps by RBI

⇒ Allowed retail investors to directly investing G-Sec through Retail Direct Gilt (RDG) account.
⇒ Issued inflation indexed bonds, sovereign gold bonds to reduce retail investors' craze for gold and real estate.

15.13.4 🐂 👩 Steps taken by SEBI

⇒ Mutual fund Risk-o-meter to help the investor make right decision.
⇒ Making rules to control nuisance of finfluencers, algo-trading and co-location.
⇒ Allowed new instruments like REITS and INVITS.
⇒ dematerialization of shares
⇒ to prevent nuisance of fake applications in IPO: 1) PAN Card compulsory to open demat account 2) ASBA blocking money in bank account.
⇒ T+1 settlement - to reduce nuisance of 'badla-system/carry forward scams'.
⇒ SEBI investors charter. (given separately in next section)

⇒ UPI based payment systems allowed.

15.13.5 🎈📙ES24: E-governance initiatives in Sharemarket – as per 📕ES24:

⇒ SEBI scores platform for filing complaints

⇒ SEBI smarts program for investor education

⇒ "T+1 settlement regime"

⇒ ASBA system in primary and secondary accounts

⇒ NSDL-CAS system = it helps u check your balance across multiple mutual fund / share trading accounts.

⇒ Disaster Recovery (DR) framework for servers.

⇒ LAMA monitoring system to check IT system integrity. Collectively such measures help boosting the faster trading and improved confidence of investors. Thus marriage of technology and capital markets help unlocking the maximum potential for overall growth of the Indian economy. (ई-शासन के इन कदमों के चलते शेयर बाज़ार में ट्रेडिंग पहले से ज़्यादा तेज़ हुआ है और निवेशकों का विश्वास भी बढ़ा है। प्रौद्योगिकी और पूंजी बाज़ार के एसे विवाह से आर्थिक वृद्धि के नए अवसर पैदा होते हैं।)

15.14📇💪 SEBI INVESTOR CHARTER (निवेशक अधिकार पत्र)

⇒ (Definition) A citizens' charter (नागरिक अधिकारपत्र) is a document of commitments made by a government agency to the citizens in respect of the services being provided to them. e.g. if "X" problem is not solved in "Y" days then complain to "Z" officer on ABC Phone number / email address etc.

⇒ (Origin) 💼 Budget-2021: we'll create an "investor charter" (निवेशक अधिकार पत्र) for financial investors across all financial products (Share, Bond, derivatives, Commodities market etc).

⇒ SEBI notified this in 2021-November.

- This charter applies on Entities/actors e.g. investors, mutual funds, stock brokers, stock exchanges, depositories, underwriters, real estate investment trusts (REITs), infrastructure investment trusts (InvITS), & other collective investment schemes,
- This charter applies on Events e.g. initial public offerings (IPO), FPO, etc.

15.14.1 📇💪 SEBI Charter → Investors' rights (निवेशक के अधिकार)

⇒ Investors are entitled to fair treatment from SEBI & its regulated entities (E.g. Mutual fund, stock-brokers IPO-underwriters etc). (सेबी और उसके द्वारा नियंत्रित संस्थाओं से निवेशक को न्यायोचित व्यवहार का अधिकार होगा।)

⇒ Investors can expect complaint resolution from SEBI's SCORES Portal in a time bound manner (if his complaint not solved by the) (सेबी के ऑनलाइन स्कोर पोर्टल पे समय पर शिकायत निवारण का अधिकार)

⇒ SEBI regulated entities (E.g. Mutual fund, stock-brokers IPO-underwriters etc) Will be required to display on their website average time taken to solve complaints internally. (सेबी द्वारा नियंत्रित संस्थाओं ने अपनी वेबसाइट पर दर्शाना होगा कि वे आंतरिक रूप से ग्राहक शिकायत निवारण में कितना समय लेते हैं)

15.14.2 📇💪 SEBI Charter → Investors' responsibilities (निवेशक की ज़िम्मेदारी है)

⇒ Investor must not share critical information such as DEMAT passwords with anyone. (डिमेट खाते का पासवर्ड इत्यादि साझा न करने की ज़िम्मेदारी)

⇒ Before making an investment, investors must read and understand offer documents related to a financial instrument (e.g. share, bond, ETF etc), know the risks involved (किसी भी जगह वित्तीय निवेश करने से पहले उससे जुड़े जोखिमों की सारी जानकारी पढ़ने की ज़िम्मेदारी निवेशक की होगी)

⇒ Investor must read about various fees/service charges involved in a transaction

⇒ Investor must keep track of DEMAT/Bank account statements. if any discrepancy, he must communicate to the concerned authorities. e.g. password hacked & shares transferred without knowledge (निवेशक ने अपनी विभिन्न खातों में हो रहे लेनदेन पर निगरानी रखनी होगी। कोई विसंगति दिखे तो तुरंत संलग्न संस्था को सुचित करने की ज़िम्मेदारी निवेशक की होगी)

⇒ Investor preserve all transaction documents that will come in handy when filing complaints. (लेनदेन से जुड़े सभी दस्तावेजों का संग्रहण करना, ताकि शिकायत के दौरान सुबूत के रूप में जमा किया जा सके)

⇒ While investing, Investor must not make payments in cash, beyond the prescribed limits. Pay through cheque/NEFT etc. (So it helps tracing fraudsters, tax-evaders. REF: 1A1 & 2B for more on cash transaction limits). निवेश करते वक्त तय मात्रा से ज़्यादा में नक़दी भुगतान नहि करना। क्योंकि यदि बैंक खाते द्वारा भुगतान किया जाए तो वित्तीय-धोखेबाज़ों और कर-चोरों को पकड़ने में सुविधा रहे।

15.14.3 💼💪: 😪 SEBI's Investor Charter: Criticism/limitation:

⇒ 😨The charter is treated as reference guide. It has no legal binding / legal rights to investors. (ये केवल एक पथदर्शक है. क़ानूनी रूप से बाध्य नहीं है)

⇒ 😨SEBI could not prevent recent scams/disasters in stock markets such as Franklin Templeton Mutual Fund, Karvy Broker DEMAT scam, IL&FS crisis etc. This charter's features not specifically giving confidence on how SEBI will prevent scams in future. (वर्तमान वर्षों में विविध शेयर बाज़ार घोटालों को रोकने में सेबी असफल रहा है। और इस नए अधिकार पत्र के मुद्दे पढ़कर विश्वास संपादन नहीं हो रहा कि भविष्य में एसे कांड नहीं होंगे)

⇒ 😨Retail investors get fooled into investing in bad/weak companies based on 'tips/recommendations' by social media influencers/telegram/Youtubers. But, charter not sufficiently addressing this menace. (सोशल मीडिया में बदमाशों की झूठी सलाहों के चलते कमज़ोर कंपनियों के शेयर-बोंड में भोले निवेशक फँस जाते हैं-कोई सख़्त प्रावधान नहि।)

15.14.4 💼💪: ✍️ SEBI's Investor Charter: Benefit/Conclusion

Appreciable step by SEBI. This will help in a long way in... प्रशंसनीय क़दम

✓ Ease of doing business & Ease of doing investment (व्यापार और निवेश में सुगमता होगी)

✓ More clarity over rights and responsibilities financial market participants [Individual Investor, Share Broker, Stock Exchange, Depository, Underwriter, Companies etc] अधिकार और जिम्मेदारियों में स्पष्टता होगी

✓ Deepening of the financial market, Mobilisation of savings to the productive channels of economy. पूंजी बाज़ार की जड़ों को गहरा करने में मदद मिलेगी.

15.15 👎CHALLENGES IN DEEPENING THE CAPITAL MARKET

⇒ Lack of financial inclusion / awareness. (Recall RBI Index in Mains-Pillar1A1)

⇒ Lack of sufficient surplus income / savings. (ग़रीब लोगों में जागृति नहीं है, बचत कई लिए पैसा नहीं है, बचत के लिए पैसा नहीं है।)

⇒ Slow action against the financial market scam 1) Karvy Capital 2) NSE Co-location scam 3) NSEL commodity market/ Jignesh Shah 4) Mutual funds investment in ILFS

⇒ resistance and fear of unknown after hearing the negative news about Sharemarket scams / big losses. (शेयर बाज़ारों में घोटालों की ख़बरों के चलते कुछ लोग यहाँ आने से डरते हैं।)

⇒ nuisance of telegram and YouTube fin-fluencers who have caused by heavy loss to gullible investors. Then the negative word-of-mouth publicity deters the victims' relatives/friends from participating in the Sharemarket. (यूट्यूब पर ठगों के बहकावे में आकर पैसा डुबोने वाले लोग, बाद में अपने रिश्तेदारों को भी यहाँ आने से रोकते हैं।)

⇒ Lack of Patience among people to profit from sharemarket. **disposition effect** / behavioral bias where investors tend to sell winning stocks too early (to lock in gains) and hold onto losing stocks too long (hoping they will recover). (निवेशकों में धैर्य का अभाव।)



⇒ During Corona, one could randomly invest in any company and make windfall gains, due to the inflow of FPI, but now have to patiently wait for the investment to grow. But, After US Fed Tapering, FPI pulled out money from India, sharemarket down. Then Adani short-selling (2023) aggravated the matters further. (ये कोरोना में शेयर बाज़ार बहूत ऊपर गया लेकिन उसके बाद मंदी का माहौल आया था।)

⇒ LIC IPO garnered lot of money for the government but not much happiness to investors because issue price was >900 per share, presently trading at around 600 (=approx 30% loss).

⇒ Similar for - PayTM IPO fiasco. Zomato and many other startup company shares are selling below their issue price.

⇒ In such gloomy market i) IPO do not get fully subscribed / lack of excitement among the investors for fresh IPOs ii) even existing investors become dormant. <More about IPO bubble in next section>

15.15.1 🐮📈🐻Sharemarket- 2022: IPO Bubble Burst: Case of Paytm (फूट गया गुब्बारा)

⇒ 2021-Nov: Paytm collected ₹18,300 crore from IPO.

⇒ 2021-Nov: Paytm Primary market Price Rs.2150 but but on day1 of listing (in the secondary market), Paytm fell by almost 25%. → by 2022-March fallen to ₹750 (that is >60% loss to investor!). → ₹457 (2024-Jul = 78% loss on listing price). Reasons:

⇒ 😢 high valuation of Paytm IPO (₹2150 per share) but institutional investors (Mutual Fund, Pension Fund etc) not very confident of the growth prospects of Paytm. Once upon a time,

Paytm had superiority but faces stiff competition from NPCi's UPI-Bhim, Mobikwick, PayU, PhonePe etc. (ऑनलाइन भुगतान में बहुत सारी कंपनियों के साथ स्पर्धा. पेटीएम का एकाधिकार नहीं है.)

⇒ 😢startup bubble, no free lunches in economy- said Raghuram Rajan. Cashback discount is given to build subscriber base to create hype- ultimately startup founders recovered all the cashback money from Paytm retail investors (who lost 25% on listing day). → this could also negatively affect the future IPOs of Startup Companies (अर्थतंत्र में कोई मुफ़्त में भोजन नहीं देता इन सब स्टार्टअप वालों ने कैशबैक/ डिस्काउंट के दम पे पहले ग्राहकों को लुभाया → फिर हमारी कंपनी में बहुत ग्राहक है, एसा दिखाके निवेशकों को चूना लगाया)

⇒ 2024: RBI investigations against malpractices in Paytm payment bank. RBI stopped it from taking new customers. 2026- Paytm payment bank license cancelled.

⇒ 😢Ethical Aspect:- Retail investors with huge greed were blindly applying IPOs hoping to 2x double their money. At some point they were bound to pay for excess greed. (बिना मेहनत के 25 दिन में पैसे डबल करने की लालच रखने वाले आम निवेशकों ने भी अपने नैतिक मूल्यों पर सोच विचार करना चाहिए- की लालच बुरी बला है)

15.15.2 🎈 IPO ke naam pe founders mostly OFS to 'exit' - laments 📕ES26:

In IPO two things can happen

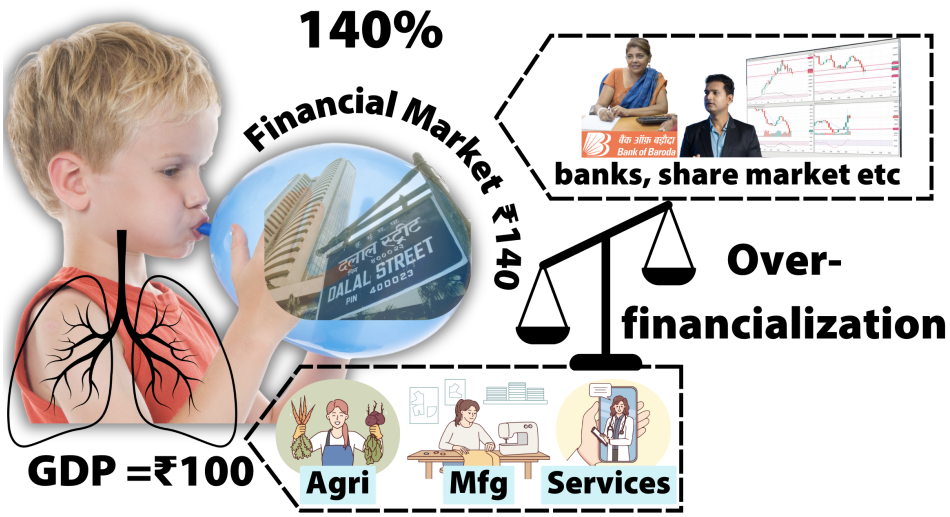
- Fresh new shares are issued, and the company receives money.
- OFS Offer for Sale → Previous investors /founders sell existing shares to the public. The company doesn't get fresh capital. (पुराने निवेशक पतली गली से निकलने रहे है)
- 2025: 94 companies issued ₹1.60 lakh crore in IPO, but 58% of that was OFS.
- Chief Economic Advisor (CEA) remarked, "Initial Public Offerings (IPOs) have increasingly become exit vehicles for early investors, rather than mechanisms for raising long-term capital. This undermines the spirit of public markets. We should not be "celebrating the wrong milestones," such as market capitalization or the F&O trading. (क्योंकि वो सब गुब्बारा है)

15.16 🎈 Over-financialization is dangerous says 📕ES24 (अति वित्तीयकरण से जोखिम)

- Watch this for more https://youtu.be/fH7BPD2Oe7o?si=_KKnZOOtfbn69Wig
- It means refers to a situation where the financial sector (banks, stock markets, financial services, etc.) becomes disproportionately large relative to the real economy (=GDP = production of goods and services). (जब अर्थतंत्र का वित्तीय क्षेत्र अर्थतंत्र के वास्तविक क्षेत्र से बड़ा हो जाए।)
- India's stock market capitalisation is currently 140% of GDP said 📕ES24.
- While India's financial sector appears bright, but the significant increase in retail investors in the stock market calls for careful consideration. Bcoz,

Over-financialization can create following problems: (इन समस्याओं का निर्माण)

- massive economic crisis e.g. Asian crisis of 1997–98, Subprime crisis of 2007–08 → Reduced capacity for sustainable long-term growth. (बड़ा आर्थिक संकट)
- Excessive financial speculation (e.g. future options derivative trading) (भारी मात्रा में सट्टा खोरी।)
- Increased inequality bcoz sharemarket players will make unreasonably high amount of money than normal people in normal jobs. (आर्थिक असमानता।)
- Therefore, the financial sector should expand at a pace that is in lockstep with economic growth. India can ill-afford the economy's over financialisation at its economic growth stage. (वित्तीय क्षेत्र ने आर्थिक विकास के साथ क़दम मिलाकर दौड़ना चाहिए न कि उसके आगे दौड़ना चाहिए वरना के आर्थिक संकट का निर्माण हो सकता है।)



15.16.1 🎈📕ES24: over-financialisation ⛔ Reduce retail investors in F&O

- **Plz refer to Prelims Handout to understand this issue better.**
- future option (F&O) derivative market provides very large gains even on small investment e.g. ₹10,000 investment can become ₹1 lakh in a few hours
- This caters to humans' gambling instincts and can multiply income if profitable. (क्योंकि फ़्यूचर ऑप्शन बाज़ार में बहुत ही कम घंटों में पैसा अनेक गुना बढ़ सकता है इसलिए इंसानों की जुए की लत को ये सहलाता है/बढ़ोतरी देता है।)
- This is motivating young retail investors with higher risk appetite to play F&O game. (इसलिए बहुत सारे युवा खुदरा निवेशक यहाँ आकर्षित होते हैं।)
- According to SEBI, 9 out of 10, people lose money in this game.
- But upon losing the money, Investors' behavioural response would be to feel 'cheated'. Then they (investors) may not return to capital markets for a long time. That is a loss to them and the economy. (लेकिन जब 10 में से नौ निवेशक अपना पैसा गंवा देते हैं, वो दोबारा लंबे समय तक शेयर बाज़ार में क़दम नहीं रखते, जिससे उनका स्वयं का और पूरे अर्थतंत्र का नुक़सान होता है।)
- F&O are not meant for speculative investment / gambling. F&O derivatives are hedging instruments (i.e. used by the institutional investors such as mutual fund and pension fund to protect their losses).
- So there is a need to reconsider the retail participation (**sachetisation**) in this sector e.g. At present, even a person with **one lakh rupee bank balance** is allowed to open F&O trading account! SEBI should increase the limit so only HNI (high networth individuals) can open the account. (फ़्यूचर ऑप्शन बाज़ार में रिटेल निवेशक के आगमन पर पुनर्विचार की ज़रूरत है या ज़्यादा खुले शब्दों में कहें तो केवल अमीरों को ही ऐसे जोखिमपूर्ण बाज़ारों में निवेश के लिए अनुमति मिलनी चाहिए यहाँ गरीबों को प्रवेश नहीं देना चाहिए, क्योंकि गरीबों की जोखिम सहने की वित्तीय क्षमता बहूत कम होती है।)
- A foreign proprietary trading firm Jane Street swindled over ₹4000 cr by manipulating Indian F&O Market (2025) and SEBI couldnot prevent it.

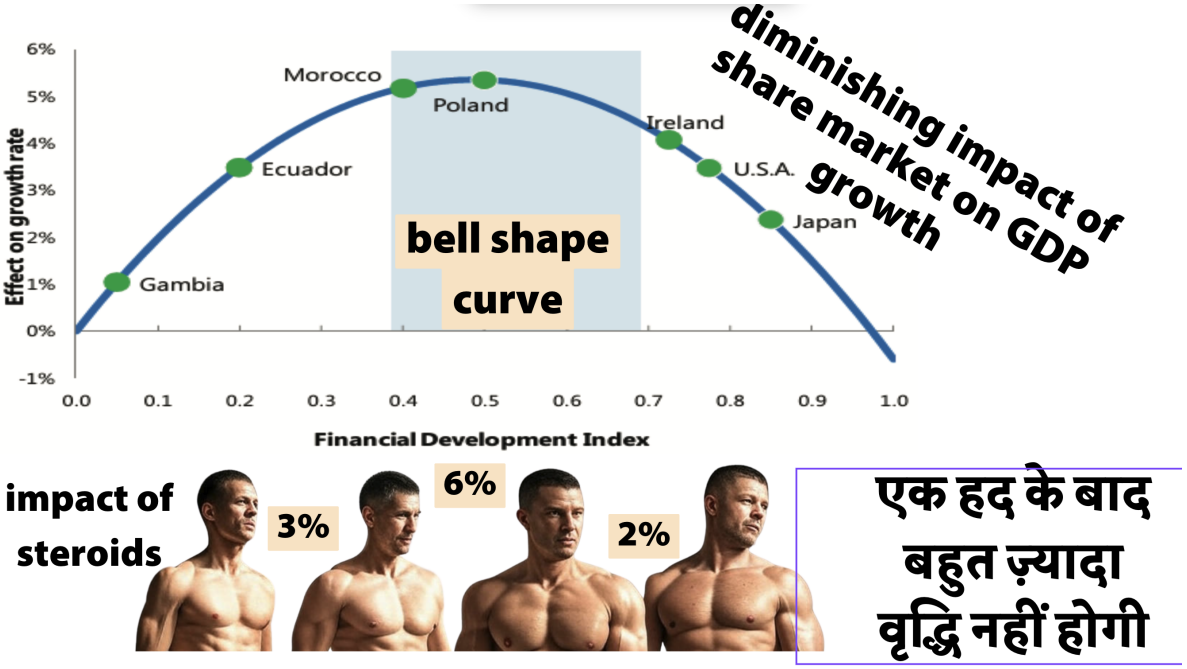
15.16.2 📍 Over financialisation damages productivity cautions 📘ES25:

Excessive financialisation damages the productivity. Because

- More number of talented youth opts for financial sector careers (e.g. investment banker) rather than real sector jobs (e.g. Mechanical engineer designing new electric car).

- money is moving in the financial sector (complex trading in future-option market) rather than in the real sector (e.g. designing new CPU) (वास्तविक या भौतिक क्षेत्र की जगह वित्तीय क्षेत्र में पूंजी चली जाती।)
- Creates complex products whose risks are not apparent to the regular consumer. (e.g. Future-Option Trading) (जटिल निवेश साधन जो बहुत जोखिमपूर्ण होते हैं। जनता को समझ नहीं आते)
- Money goes into high collateral–low productivity projects. (e.g. Bonds of Real Estate Companies.) (जिसमे गिरवी ज़्यादा रखा जाए, लेकिन उत्पादकता कम हो ऐसे प्रोजेक्ट में पूंजी जाती है)

15.16.3 📍🔔Bell- shaped relationship: financial sector impact on GDP Growth - 📘ES25:



- incremental increase in the financial sector can improve the GDP growth to what level?
- yes- for under-developed and developing countries such as Gambia, Ecuador and Morocco
- not so much for developed nations, such as Ireland, the USA, and Japan.
- But if weak SEBI / poor regulation then possible that developing economy (nations to the left of the bell curve) reach a point of over-financialisation, which will harm their growth.

we should strive to maintain the fine balance between financial sector development and over-financialisation on the other.

15.16.4 Over-financisalition: reforms by SEBI (2024-Oct)

Reform	before	After
min. contract value for F&O investments	₹5–10 lakhs	15–20 lakhs depending on type of instrument

- This will automatically prevent lower middle class people from gambling/participating.
- Buyer now needs to pay the entire call/put option premium upfront. And can't play the games on 'leverage' (i.e. by borrowing money from broker/postponing payment for later settlement) (पूरी फ़ीस/रक़म एक बार में देनी होगी। उधारी नहीं चलेगी)
- Buyer will be required to pay additional "**Extreme Loss Margin fees**". (What it means is not imp, but enough to know it'll prevent lower middle class people from participating due to increased fees.) (नुक़सान रक्षा के लिए अरितिक्त मार्जिन फ़ीस देनी होगी)
- + many more technical reforms

15.16.5 Over-financisalition: reforms by Govt- increased taxes in 👛Budget-2024-July:

1) ↑ ↑ CGT on share-market profit as follows:

Type of Capital Gains मुनाफ़े पर पूंजीगत लाभ कर	Current Rate	New Tax Rate
Short-Term Capital Gains (if share sold within 12 months of ownership)	15%	20%
Long-Term Capital Gains (if share sold after 12 months of ownership)	10%	12.50%

2) ↑ ↑ **Securities Transaction Tax** (STT) on future-options market. (प्रतिभूति लेनदेन कर)

15.17🌱🌳 Deepening of Capital Market: Future Suggestions

⇒ Spreading financial inclusion and practical awareness about share market, especially in the rural / rurban areas, female depositors, highschool and college students. जागृति में बढ़ोतरी

⇒ Simplification of the Tax / TDS. कराधान में सरलता

⇒ Stricter control over the fin-influencers on social media/telegram, algo-trading, future-option market. इन सबसे ज़्यादा सख़्ती की जाए

⇒ Retail investors should be prohibited from participating in more volatile / complex instruments such as intraday trading, futures and options, also-trading. (otherwise, they lose money because of half-backed knowledge and then spread negativity against sharemarket, to their friends and relatives after losing money.) ज़्यादा जोखिमपूर्ण निवेश साधनों में आम निवेशकों पे पाबंदी लगायी जाए.

⇒ Minimum holding period for FPIs. (Their random exit causes fall in Sharemarket, and normal Indian investors also lose money) विदेशी निवेशक के को अंधाधुंध तरीक़े से पैसा लाने-ले जाने से रोका जाए।

⇒ SEBI need to get more strict before allowing any IPO e.g. PayTM Fiasco. Its balancesheet was not in profit, yet IPO-permission given. आइपीओ को अनुमति देने से पहले सेबी ने ज़्यादा कोताही बरतनी चाहिए।

⇒ SEBI manpower need to be increased. America's sharemarket regulator has 15x more staff than India. सेबी के मानवबल में बढ़ोतरी होनी चाहिए, अमेरिका के शेयर बाज़ार नियंत्रक के पास 15 गुना ज़्यादा स्टाफ़ है।

⇒ Bank managers mis-selling Mutual fund and SIP products to complete sales targets, without properly studying the long-term investment requirement of the depositor.

⇒ Swift and exemplary punishment and refund to the victims in big scams. (बदमाशों को त्वरित और सख़्त सजा दी जाए जो दूसरी बदमाशों के लिए भी एक मिसाल बने और बदमाशों को त्वरित और सख़्त सजा दी जाए जो दूसरी बदमाशों के लिए भी एक मिसाल बने और वे भी ग़लत काम करने से डरे।)

⇒ An organisation similar to DICGC to cover losses of the Mutual fund investors.

⇒ More regulation over short-sellers (with respect to Adani-Hindenburg crisis.)

⇒ At present (1) Govt bonds' (G-Sec) market (2) private sector / Corporate Bonds market are functioning separately. Need for unified bond market where all 3 can be easily bought and sold. (एकीकृत बॉन्ड बाजार)

⇒ Ease of doing business and Stricter enforcement of the corporate governance to ensure that companies don't go bankrupt, make healthy profit, investors receive decent dividend and healthy growth return on their investment. (व्यापार में सुगमता कॉरपोरेट शासन का पालन हो। ताकि कंपनियां नैतिक पूर्ण तरीक़े से चले ताकि कंपनियां नैतिक पूर्ण, स्वच्छ और स्वस्थ तरीक़े से चले, ताकि वे कंपनीया अच्छा मुनाफ़ा कमाए, और निवेशकों को भी अच्छा डिविडेंड लाभांश दें सके।)

15.17.1 🎈📙ES24: Need to prevent mis-selling

- Financial intermediaries (FI/bank/NBFCs) need to keep the interests of the consumers in mind.
- They need improve their service quality through fair selling, disclosure, transparency, reliability, and responsiveness.
- Their managers/agents' salary-bonus/commission/appraisal and incentive systems must be in alignment with these considerations, AND NOT merely on quantitative metrics of 'sales'.
- Both public and private sector FI need to become more customer-centric.(कुल मिलाकर बात यह है कि म्यूचुअल फंड के मैनेजरों को तनख़्वाह के अलावा बोनस भी दिया जाता है भले ही वो मैनेजर ग्राहक को पैसा डबल करने का झूठा वायदा/ सपना दिलाकर में लाया हो। इसलिए आर्थिक सर्वेक्षण का यह सुजाव कि मैनेजरों के बोनस केवल बिक्री/सेल्स के पैमानों/मानदंडों पर आधारित नहीं होने चाहिए। बल्कि उसमें पारदर्शिता, जवाबदेही, शिकायत-निवारण, आदि पैमानों/मानदंडों को भी ध्यान में लेते हुए मैनेजर को तनख़्वाह के ऊपर बोनस देना चाहिए।)

15.17.2 💁‍♀️🐂 SEBI- New Challenges against SEBI (2025)

- Hindenburg/Adani short selling case.
- Corruption allegations against former SEBI Chief Madhabi Puri Buch in the Hindenburg-Adani case, though Lokpal gave her a clean chit in 2025-May.
- Conflict between Ms. Buch and SEBI officers over salary raises and work targets, leading to a strike and weak staff morale.
- FPI withdrawals due to geopolitical events, causing losses for small Indian investors. (भू राजनैतिक घटनाओं को देखकर विदेशी निवेशक भाग जाते हैं जिससे भारतीय शेयर बाज़ार गिर जाता है और भारत के आम छोटे निवेशक भी नुक़सान झेलते हैं।)
- Unregistered Finfluencers offering investment advice via social media.
- Opinion trading platforms and online batting gambling apps, which are outside SEBI's jurisdiction. They lure many Indians who lack the knowledge or patience to invest in share market. (जिन भारतीयों को शेयर बाज़ार की समझ /धीरज नहीं, वे ऑनलाइन जुए के एप्स मैं पैसा डुबो रहे हैं।)
- 2025-26: India's equity market performance was barely 11% compared to much better returns in S.Korea, USA, Japan. Major factors: FPI sellout, tariff war, Iran war. Whereas Gold prices skyrocketed. This discourage new investors from coming to Sharemarket.
- Another share-market crisis is possible in USA because American Company share prices have increased by 20–20% each in 2023 and 2024. But consumer income levels have not increased greatly, to generate as much product sales/profit/dividend to justify such high valuation of the shares. (अमेरिकी शेयर बाज़ार गिरने का भय)
- Indian markets tend to react more to US trends. Reverse case not very true. Bcoz American investment in Indian market is higher than Indian investment in American market. (अमरीका का बाज़ार गिरता है तो भारत का बाज़ार आवश्यक गिरता है)
- **Solow's paradox** - AI bubble in USA Market. Nvidia Chip company's market cap (5 trillion) higher than India's GDP (4 tn)! If USA market collapses, the aftershock can fall to Indian sharemarket as well.

15.17.3 🤖 AI causing herding behaviour in financial markets- fears 📕ES26

- Since the launch of ChatGPT in 2022, the use of AI in the financial markets and investment decisions has increased.
- There is a higher likelihood of herding behaviour in financial markets, as global investors use similar AI models. (जब सभी निवेशकों की एक ही प्रकार की गई मॉडल इस्तेमाल कर रहे हैं तो वित्तीय बाज़ार में भेड़चाल शुरू

हो जाएगी।)

- AI models monitoring news feeds and social media have made foreign investors sensitive to micro-information signals transmitted through these platforms. (सोशल मीडिया में बहू छोटी छोटी ट्रेंड को भी बढ़ा चढ़ाकर देखा जाता।)
- In 2023, Hindenburg Research's report on alleged stock manipulation in the Adani group spread rapidly via social media, news channels, and online platforms, leading to heavy coordinated selling by FPIs in Adani stocks. (केवल एक हिंडनबर्ग रिपोर्ट से अदानी के शेयर में भारी गिरावट।)
- The stocks crashed sharply, with many falling 40–70% in weeks, resulting in a loss of over ₹8 lakh crore in market value for the group.

15.18 SIGNIFICANCE OF BOND MARKET

Long-term interest rate (ES26)	India	Canada	Italy	Switzerland
Rate (%)	7.61	3.13	2.94	1.04

- Thus, India's average loan interest is higher because of the weak bond market. A vibrant bond market helps to lower borrowing costs through competitive pricing.
- The corporate bond market enables banks to redirect loans toward priority sectors, including rural credit, infrastructure, and MSMEs. This helps in advancing financial inclusion.
- Thus, a deep corporate bond market reduces dependence on bank-dominated financing, thereby strengthening overall financial stability.
- The bond market channels institutional and household savings into productive sectors.
- Therefore, a well-developed corporate bond market is indispensable to India's financial system. (एक सुविकसित बॉन्ड मार्केट सस्ती ब्याज पर कंपनियों को ऋण दिलवाता है, उन कंपनियों की बैंकों पर निर्भरता कम करता है। ताकि बैंकों के लोन ज़रूरतमंद कंपनी और छोटे उद्योगों को उपलब्ध।)

15.18.1 India's corporate bond market remains underdeveloped - laments ES26

Country	India	USA	China
Corporate Bond Market as a % of GDP (2024)	16–17%	40%	36%

- (Data) India's Bond market accounting for around 16–17 per cent of GDP, compared to (share) equity market of over 130 per cent of GDP.

REASONS	REMEDIES
Weak debt recovery mechanisms discourage the investors.	Fix IBC-Code issues (Ref: Pillar#1B)
Tax asymmetries i.e. more tax on income from bonds, than shares.	2026-May: govt removed tax on FPI investment in G-Sec , but more relief required for domestic investors. (करों में छूट की आवश्यकता)
Bonds' Secondary market is shallow, reducing the liquidity for bonds. Only a small group of institutional investors (such as Insurance and pension companies) participate in the primary markets, which limits the supply of bonds available for trading in the secondary market.	Promote ETF (exchange traded funds) so retail investors with smaller investment amount can join.(बांड का द्वितीयक/पुन:बिक्री बाजार सुविकसित नहीं है। केवल बड़े निवेशक प्राथमिक बाज़ार में जुड रहे है।)

REASONS	REMEDIES
- the US presents a more liquid and mature corporate debt market catering to various segments.	
Rules of IRDAI and PFRDA allow Insurance and pension companies to invest only in very high rated bonds. Whereas most of Indian manufacturing companies bonds have medium to weak rating.	liberalize these rules (पेंशन और बीमा कंपनियों के बॉण्ड निवेश के नियमों को सरल बनाने की ज़रूरत।)

15.18.2 Conclusion on Financial Markets: निष्कर्ष



✓ A well functioning financial market catalyzes the process of economic development. It is therefore essential that such markets operate in a free, fair, competitive and transparent manner. एक सुविकसित वित्तीय बाजार आर्थिक विकास की प्रक्रिया मे उद्दीपक का काम करता है। ऐसे बाजार का स्वतंत्र, निष्पक्ष, प्रतिस्पर्धी और पारदर्शी रूप से संचालित होना आवश्यक है।

✓ Deepening the financial market helps mobilize the savings of poor households into the productive channels of the economy. पूंजी बाजार को गहरा करने से गरीब परिवारों की बचत को अर्थव्यवस्था के विभिन्न क्षेत्रो को क्रियान्वित करने मे में मदद मिलती है।

✓ Aforementioned initiatives /issues are greatly important in that regard need to be addressed in priority basis. इस संबंध में पूर्वोक्त पहल / मुद्दे बहुत महत्वपूर्ण हैं / उन्हे अग्रताक्रम से संबोधित करना आवश्यक.

OR

⇒ Without adequate capital investment, a company cannot effectively participate in India's economic growth and job creation.

⇒ Even PM Gati Shakti / National infrastructure pipeline project (111 lakh cr) requires 21% investment from private sector.

⇒ Therefore, deepening of the capital market and increasing the participation of the retail investor is need of the hour.

15.19 👨‍✈️🕵️ Financial Sector Regulators- 📘ES25:

- (Origin) In India, the financial sector is primarily governed by the RBI, SEBI, IRDAI, PFRDA, and IBBI. They have following common features:
- They are established by an act of Parliament. (संसदीय क़ानून से बनाए।)
- They possess a degree of autonomy from the government.(सरकार से स्वतंत्र।)
- They perform legislative, executive, and quasi-judicial functions. (Legislative function how? Ans. Recall the delegated legislation under demonetization topic under Prelims-HDT-2B) (>वे विधायी, कार्यकारी और अर्ध-न्यायिक कार्य करते हैं।)
- Their decision-making processes are specialized and technocratic in nature. (निर्णय लेने की प्रक्रियाएँ विशिष्ट और तकनीकी होती हैं)

15.19.1 👨‍✈️🕵️ Regulatory Impact Assessment (RIA) : Present mechanisms

The work of these financial regulators is evaluated through various channels such as:

Channel	Regulatory Impact Assessment- विनियामक प्रभाव आकलन
Parliamentary Scrutiny (संसदीय जांच)	This occurs via the Committee on Sub-ordinate Legislations and the Standing Committee on Finance.
Ministerial Oversight (मंत्रालय द्वारा जांच)	The Department/Ministry administering the parent statute also plays a role. e.g. Ministry of corporate affairs over IBBI.
Auditing (लेखा परीक्षण)	The Comptroller and Auditor General (CAG) reviews their financial performance.
Judicial Review (न्यायिक समीक्षा)	Courts can examine the legality and fairness of their actions.

15.19.2 👨‍✈️🕵️ Regulatory Impact Assessment (RIA)- future suggestions by 📘ES25:

- Quality of regulations should be assessed based on: democratic legitimacy, accountability, fair, accessible, and open procedures, expertise, and efficiency. (इनके निर्णयों को निम्न मानदंडों पर जाँचा जाए- लोकतांत्रिक वैधता, जवाबदेही, निष्पक्ष, सुलभ और खुली प्रक्रियाएं, विशेषज्ञता और दक्षता।)
- e.g. Digital-KYC-regulation was making it difficult for PH/acid attack victims to open accounts in Bank-NBFCs.
- Adopt suggestions given by OECD, Second Administrative Reforms Commission's and Financial Sector Legislative Reforms Commission (द्वितीय प्रशासनिक सुधार आयोग और वित्तीय क्षेत्र विधायी सुधार आयोग)
- Need for Public consultations in their regulation-making processes. (जनभागीदारी / लोगों से विमर्श)
- Need to setup an independent agency within the regulator. This IA should report directly to the Board (e.g. RBI Board, SEBI board). This agency should conduct economic and social cost-benefit analyses of the decisions. (संस्था के भीतर ही एक स्वतंत्र एजेंसी बनायी जाए जो कि संस्था के निर्णयों की निर्णयों का आर्थिक और सामाजिक लागत-लाभ विश्लेषण करे।)

15.19.3 ✍️ Conclusion:

- Financial intermediation is crucial for economic growth and human development in developing countries.

- When crafting regulations, financial regulators must balance stability (protecting vulnerable customers) with fostering innovation and competition among institutions like banks and NBFCs.
- Therefore, regulatory impact assessments are essential to evaluate the social and economic effects of their decisions. (वित्तीय मध्यस्थता विकासशील देशों में आर्थिक विकास और मानव विकास के लिए महत्वपूर्ण है। - वित्तीय नियामकों को नियम बनाते समय स्थिरता (कमजोर ग्राहकों की सुरक्षा) और बैंकों व NBFC जैसे संस्थानों में नवाचार व प्रतिस्पर्धा को बढ़ावा देने के बीच संतुलन बनाना चाहिए। - इसलिए, उनके निर्णयों के सामाजिक और आर्थिक प्रभावों का मूल्यांकन करने के लिए नियामकी प्रभाव आकलन आवश्यक हैं।)

16 CORPORATE GOVERNANCE (कॉर्पोरेट शासन)

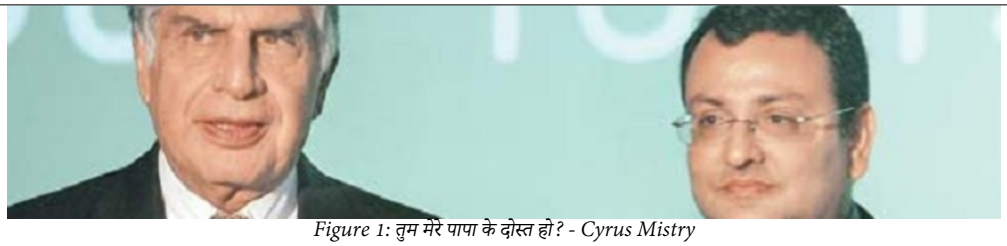


Figure 1: तुम मेरे पापा के दोस्त हो? - Cyrus Mistry

It is a way of directing the company to protect the interest of all stakeholders, and ensure three types of compliance: (कंपनी निर्देशित करने का एक तरीका जिससे हितधारकों की रक्षा हो)

Compliance	Example(s)
Legal-Regulatory कानूनी-नियामक	⇒ Company obtaining Legal Entity Identifier (LEI) number as mandated by RBI. ⇒ Company setting up 'Internal Complaints Committee' as mandated by Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 / *"POSH Act"*
Technical तकनीकी	⇒ Companies keeping balance sheets as per the Ind-AS accounting standards. ⇒ Automobile company producing car engines as per BHARAT-Stage emission norms.
Moral-Ethical नैतिक-सदाचार-पूर्ण	Gillette scrapping the ad-contract with cricketer Hardik Pandya for his sexist comments against women on Koffee with Karan Show.

⇒ Absence of Corporate Governance leads to fraud, embezzlement (ग़बन), erosion of investors' confidence. E.g. **Satyam** Computer Scandal (Chairman Ramalinga Raju manipulated account books), Boardroom battles at Tata Group (Cyrus Mistry vs Ratan Tata) and **Infosys** Group (Narayana Murthy vs Vishal Sikka fighting, 2019: whistle-blower complaint about financial irregularities), **ICICI** (Boss Chanda Kochhar gave ₹3000 crore loan to Videocon company without due-diligence, which turned NPA.)

16.11 CORPORATE SCAMS NOTABLE EXAMPLES.

Scam / controversy	Brief Description	Weakness in Corporate Governance
Satyam IT scandal	Satyam Computer Services, a leading Indian IT company, showed fake high	Weak auditing, window dressing of the account

Scam / controversy	Brief Description	Weakness in Corporate Governance
	profits by billions of dollars to drive up the share prices. Result? Arrest of founder Ramalinga Raju	books, Lack of internal controls and oversight,
Tata boardroom battle	Cyrus Mistry complained to NCLT that he was forced to resign from the post of the chairman of Tata Sons using some underhanded tactics of Ratan Tata.	Lack of clear succession planning, poor communication between board members. Allegations that independent directors did not play right role.
Infosys boardroom battle	Vishal Sikka, the CEO of Infosys, was forced to resign after a boardroom battle with founder Narayana Murthy. Murthy alleged that Sikka was buying excessive amount of salary to himself and his colleagues, and buying other companies at unreasonable high prices.	Lack of financial prudence.
ICICI-Videocon loan scam	ICICI Bank lent billions of dollars to Videocon Industries, even though Videocon did not have enough cash flow to repay loan. ICICI Bank chief Chanda Kochhar allegedly taken bribes to pass the loan application.	Corruption, lack of due diligence.
Yes Bank Rana Kapoor arrest	Founder Rana Kapoor arrested for money laundering, diverting company money for personal purpose.	Conflict of interest, Financial irregularity.
Volkswagen Dieselgate	Volkswagen installed software in its diesel cars that allowed them to cheat on emissions tests.	Lack of compliance with environmental regulations
Facebook Cambridge Analytica breach	Cambridge Analytica, a political consulting firm, improperly harvested the personal data of millions of Facebook users and used it to help Donald Trump publish targeted advertisements against the presidential candidate Hillary Trump to win election.	Lack of data privacy safeguards, poor oversight of third-party vendors, Misuse of private data for election / propaganda.
NSE co-location scam	NSE's ex-CEO Chitra Ramkrishna took bribes from big traders to allow them to set up their computers very close to the exchange (called 'co-location) so traders	Bribery. Injustice to ordinary investors in share market.

Scam / controversy	Brief Description	Weakness in Corporate Governance
	could conduct the trading faster than anyone else using Algo trading.	
Zee Entertainment founder banned by SEBI scam 2023	Zee Entertainment Founder Subhash Chandra, banned from the share market for five years for insider trading.	Insider trading.
Sahara OECD scam	Sahara boss Subrata Roy arrested for defrauding investors by selling bonds (Optionally, fully convertible debentures) without registering with SEBI.	Lack of regulatory compliance.
ILFS	Loans given to relatives of the board members and it turned NPA	Conflict of interest.
Karvy Stock Broking scam:	Instead of investing clients' money in Share market, the managers misappropriated it for other purposes.	Financial impropriety
Kingfisher Airline (Vijay Mallaya), DHFL, Nirav Modi-Mehul Chowksi, PMC Coop Bank	Fraudulently acquired loans and did not repay back.	Financial impropriety
Walmart Class action suit	Some female employees of the Walmart filed a case that they were not given the promotions as fast as their male colleagues. Walmart settled a class-action lawsuit with 156,000 female employees for $640 million. The settlement was the largest ever paid by a retailer to settle a gender discrimination lawsuit.	Gender discrimination Glass ceiling
Amazon Worker exploitation	Not providing enough bathroom break, salary cut if not completing the packaging / sorting tasks on time, Not providing enough safety during Covid, preventing workers from forming a trade union.	Workers human rights, labor welfare.
Startup / Tech Layoffs	Many start-up and tech companies over estimated their business potential during the Corona and took excess money from investors, but then unable to meet the targets and laying off the workers.	Worker welfare.
Whitehat Jr. Wolf Gupta fake-ad	Whitehat Jr. Start up company was selling online courses for computer coding and	False advertisements, misguiding gullible

Scam / controversy	Brief Description	Weakness in Corporate Governance
	then making false ads that 9 year old kid named "Wolf Gupta" got big package job from Google Company! An activist Pradip Punia criticized this & Whitehat got his social media accounts banned citing defamation.	parents, Legal-bullying over whistle blowers/critiques
RK Pachauri (TERI Environment organization), Tarun Tejpal (Tehelka magazine)	Both had to step down from the organization due to charges of sexual harassment / rape and face court cases.	Safety of women at workplace.
Jet Airways founder Naresh Goyal (2023)	Defrauded Canara bank loan worth Rs. 500+ crores and money-laundering	Financial impropriety, lack of proper auditing
Appointment of *Anant Ambani* (at age 28), as board member of Reliance	some minority shareholders unhappy - Anant doesn't have enough age/experience to add any value to the board of directors.	Nepotism.

16.12 🤔 Weak Corporate Governance harm everyone- How?

- Share prices fall with negative news (e.g. Yes Bank shares fell by 78%). Ordinary people may be indirect investors via Mutual fund or pension- insurance policy. In future, the pension insurance companies may increase their subscription fees to cover up their share-market losses after such scams.
- When a banker commits fraud, it harms the depositors ultimately.
- Company commits tax evasion, Government is the deprived of taxes.
- Company shut down after scam → worker job is lost.
- Toxic work culture to complete targets → Worker may vent his anger on the family members, resulting into domestic violence and emotional abuse of children.
- Gender discrimination & sexual harassment prevent the female worker from achieving her truest potential.
- Gullible customers tricked into buying a substandard product.
- Gullible voters tricked into voting bad candidate (thru election funding by such companies)
- Environmental degradation.

16.13 👨🏻👨🏽 Corporate governance vs Good Governance

Term	Good Governance (सुशासन)	Corporate Governance (कॉर्पोरेट शासन)
Definition	It is a way governance centered around Rule of Law, Transparency, Accountability, Inclusiveness, & Efficiency to protect the interest of all citizens.	Corporate Governance: definition is given in earlier section.

Term	Good Governance (सुशासन)	Corporate Governance (कॉर्पोरेट शासन)
How /When Did This Term Become Popular?	1990s by World Bank	1980–90s after some big scams involving American multinational companies (MNCs)
Absence Of This Thing Causes..	Lalu Yadav Fodder Case, Mayawati elephant statues -SC ordered her to refund money, Commonwealth Games (CWG) scam, Coal Scam etc.	Long list of scams given in separate section.
Accountability	Parliament	Annual general meeting (AGM) of shareholders.
Fiscal Transparency	CAG reports, RTI Act	CA-Audit reports to Ministry of Corporate Affairs & CBDT/CBIC.
Dictatorship Prevention	Separation of PM vs President Post	Separation of Chairman vs MD Post
Victim Protection	National commission for Women, Human rights /SC/ST/OBC	POSH committee for victims of sexual harassment, whistleblower protection mechanism.
Protection Of The Minority Rights	National commission for minorities	independent directors
Justice	High Court, Supreme Court	NCLT (National Company Law Tribunal)
Nationalism And Patriotism	Only Indian citizen can contest/vote in election	minimum x% directors must be Indian Residents.
Inclusive Growth	via welfare schemes for the weaker section	via corporate social responsibility (CSR) reservation for women in the board seats

16.14 CORPORATE GOVERNANCE IN INDIA - CHALLENGES / WEAKNESSES

⇒ Ordinary Indian shareholders mostly care for their own dividends/return on investment. They're not as assertive/active/vocal participants during the Annual General meeting as in developed countries.

⇒ Independent directors have not lived up to their expected role. Either sided with the founder or remained mute spectator. Allegations that Independent Director Nusli Wadia was forcibly removed by the founders of Tata Sons for not aligning with their interests (2016). Such negative news then discourages other independent directors from voicing against the founders / speaking up for the minority shareholders.

⇒ Reports of the successive committees are not implemented completely.

⇒ For example, Uday Kotak (2017) recommended the CMD post, i.e., one person should not occupy both chairman and managing director posts. The original deadline was 1/April/2022 for the top-500 companies listed on Indian stock exchanges. But then SEBI made it voluntarily after resistance from the companies.



⇒ Many big public listed companies still continue to be a family-based affair / existence of nepotism in appointment of the key officials. e.g. Wipro chairman Rishad Premji is son of founder Azim Premji.

⇒ The Company Act requires big companies to have a minimum number of women directors on the board. But often the positions are given to the mothers, wives, and daughters of the male founder. It is then difficult to expect the decision-making of such female members to be truly independent from the wishes of male relatives.

⇒ Auditors/chartered accountants manage to go scot-free even after the scam by feigning ignorance/legal loopholes. There is resistance by the Institute of Chartered Accountants of India (ICAI) when the government tries to increase the powers of the National Financial Reporting Authority (NFRA) over chartered accountants.

⇒ Nexus wherein corporate social responsibility (CSR) funds are given to the NGOs owned by female members of the founder. Without stricter auditing, it is difficult to imagine all such money is going for social welfare or for personal luxuries.

⇒ Crony capitalism: to win government tenders/contracts, businessmen have to entertain the requests of the minister/politicians to appoint their son-in-laws, etc., as employees with fat paycheques. This, in turn, creates fertile ground for more nuisance within the organization.

⇒ Weak mechanisms for protection of whistleblower and victims of sexual harassment, delayed justice. (e.g. Tehelka-Tarun Tejpal, TERI-RK Pachauri)



⇒ Delay in the settlement of civil and criminal cases after the scam is exposed.

⇒ When the noose is tightened, the businessman manages to escape to foreign countries, and the Indian government struggles to bring/extradite him back. This is evident from the cases of Vijay Mallya, Nirav Modi, and Mehul Choksi. This, in turn, emboldens other crony businessmen.

16.15 Corporate governance- Steps taken by Government

16.15.1 Provisions in Companies Act for corporate governance

⇒ Companies Act 2013 mandates companies to

⇒ impose term limits on directors, Reservation for women in board of directors,

⇒ appoint independent directors, one person can't become director in more than "X" companies,

⇒ one CA/auditor can't audit more than "Y" number of companies,

⇒ Company has to setup whistle-blower protection (व्हिसलब्लोअर सुरक्षा) mechanism,

⇒ An auditor is authorised personnel that verifies the accuracy of financial records. Their primary objective is to protect businesses from fraud. Companies Act → **Companies Auditor's Report Order (CARO)** = Auditors have to annually submit reports to the Ministry of Corporate Affairs

⇒ Companies Act also has provisions for **Related Party Transactions** (RPT) to avoid scam/embezzlement. (e.g. board members giving loans to relatives, bank CEO buying expensive paintings from daughter for bank-office etc.)

16.15.2 🤼‍♀️👫 Notable Committees for corporate governance

⇒ Notable committees for improving corporate governance in India: Kumar Mangalam Birla (1999), Narayana Murthy (2003), Adi Godrej (2012), Uday Kotak (2017).

16.15.3 👨‍💼 SEBI directives for Corporate governance

⇒ SEBI too can issue directives to Public Limited Companies in the interest of investors, beyond what is required under Companies Act. Such as..

Table 1: ✋not imp to memorize all provision. just observe pattern. Most of the Deadlines postponed due to Corona

SEBI implemented Uday Kotak committee's suggestions	**From 2020-Apr#**
Split CEO/MD and Chairman. One person can't occupy both positions in his company (e.g. Gautam Adani)	Top 500 listed cos. although now SEBi made it voluntary now. (स्वैच्छिक)
In Public Listed company needs to have min. 6 directors	Top-2000 listed cos
Atleast **one independent woman** director.	Top 1,000 listed cos.
one person can serve as director in how many companies	7

⇒ #👻**ATMANIRBHAR** = SEBI deferred many of above guidelines. Punishment for small crimes reduced. Dynamically changing info so we need not chase it @ball-by-ball commentary.

16.15.4 💰(🏥🚽)CSR: Corporate Social Responsibility (कॉर्पोरेट सामाजिक जिम्मेदारी)

कंपनी ने अपने मुनाफे का कुछ हिस्सा समाज कल्याण में लगाना होगा

⇒ Mandated under Companies Act 2013: Last 3 years' avg. profit ⟶ spend 2% of that on CSR (education, environment, public health, sanitation, disaster management etc.)

⇒ Applicable on both public ltd and private ltd. with very huge profit / turnover / networth 🎓✋ ~~*what's the difference between these terms, what's the exact figure? Ans. UPSC is not Chartered Account exam.)*~~

⇒ Ministry of Corporate Affairs (MCA) gives National CSR Awards to companies.

16.15.5 ✍️ Conclusion: yes need to strengthen corporate governance

⇒ After looking at the big scams in recent years, India urgently needs to improve the corporate governance.

⇒ This can be achieved through 1) legal reforms 2) regulatory reforms 3) by imposing swift and severe punishments on corrupt businessmen.

⇒ Only by doing so, we can safeguard the small investors and strengthen/deepen the capital market.

OR

⇒ A healthy corporate sector plays an important role in creating jobs, improving exports, and boosting GDP growth rate. (एक स्वस्थ कॉर्पोरेट क्षेत्र रोजगार-निर्माण/सृजन, निर्यात और जीडीपी विकास दर को बढ़ाने में महत्वपूर्ण भूमिका निभाता है।)

⇒ But, lack of corporate governance erodes investors confidence and prevents deepening of the financial market. Thereby it harms economic growth of a country. (लेकिन, कॉरपोरेट शासन की कमी/

धांधली- निवेशकों के विश्वास को खत्म करती है, और वित्तीय बाजार को गहरा करने से रोकती है। जिससे देश की आर्थिक वृद्धि को नुकसान पहुँचाता है।)

⇒ Aforementioned initiatives /issues are greatly important in that regard need to be addressed in priority basis. (इस संबंध में पूर्वोक्त पहल / मुद्दे बहुत महत्वपूर्ण हैं / उन्हे अग्रताक्रम से संबोधित करना आवश्यक.)



16.16 MOCK QUESTIONS FOR MAINS FROM SHAREMARKET

1. (GSM2-2015) In the light of the Satyam Scandal (2009), discuss the changes brought in corporate governance to ensure transparency, accountability. सत्यम स्कैंडल (2009) पश्च्यात पारदर्शिता, जवाबदेही सुनिश्चित करने के लिए कॉर्पोरेट प्रशासन में लाए गए बदलावों पर चर्चा करें। (**we will not solve the exact answer** because its too outdated to get repeated in the next exam.)
2. "Just as good governance is necessary for vibrant Indian democracy, corporate governance is necessary for vibrant Indian economy." elaborate. "जिस प्रकार जीवंत भारतीय लोकतंत्र के लिए सुशासन आवश्यक है, उसी प्रकार जीवंत भारतीय अर्थव्यवस्था के लिए कॉर्पोरेट शासन आवश्यक है।"
3. Discuss the significance of deepening the capital market in improving India's economic growth. भारत के आर्थिक वृद्धिदर में सुधार के लिए पूंजी बाजार को गहरा करने के महत्व पर चर्चा करें।
4. Discuss the significance of the Securities Market Code and Investors Charter in deepening the capital market of India. भारत के पूंजी बाजार को गहरा करने में प्रतिभूति बाजार संहिता और निवेशक अधिकारपत्र के महत्व पर चर्चा करें।
5. Write Short Notes on i) P-Notes & ii) Electoral Bonds (Refer to Prelims Handout)
6. "The marriage of technology and capital markets helps unlock the maximum potential for overall growth of the Indian economy." ("प्रौद्योगिकी और पूंजी बाजारों का मिलन भारतीय अर्थव्यवस्था की समग्र वृद्धि के लिए अधिकतम संभावनाओं को पाने करने में मदद करता है।").
7. "India can ill-afford the economy's over-financialisation at its economic growth stage." Comment ("भारत वर्तमान आर्थिक वृद्धि के चरण में अर्थव्यवस्था के अत्यधिक वित्तीयकरण को बर्दाश्त नहीं कर सकता।")
8. Discuss the importance of financial intermediaries in technological innovation and economic development of India, with examples.(भारत में तकनीकी नवाचार और आर्थिक विकास में वित्तीय मध्यस्थों के महत्व पर चर्चा करें, उदाहरणों के साथ।)

9. What is social stock exchange? How can it bring the capital market closer to various social welfare objectives in India? Hint: you have to start with some data also, how tax:GDP is low, so public donations are important, but people are afraid to donate due to lack of transparency of NGOs.(सामाजिक स्टॉक एक्सचेंज क्या है? यह पूँजी बाज़ार को इसे भारत में विभिन्न सामाजिक कल्याण उद्देश्यों की पूर्ति के करीब कैसे ला सकता है?)
10. What are the present mechanisms to conduct the impact assessment of financial regulators in India? Suggest reforms therein. (भारत में वित्तीय विनियामकों के प्रभाव आकलन के लिए वर्तमान तंत्र क्या हैं? इसमें सुधार के सुझाव दें।)

17 INSURANCE – MEANING & SIGNIFICANCE



- Meaning: insurance policy is a Debt instrument / Legal contract against eventualities of death or damage. (मृत्यु या क्षति की घटनाओं के खिलाफ कानूनी अनुबंध).
- (Origin) In India, insurance companies were started by the Europeans but suffered from problem of racism (higher premium on Indian clients), frauds embezzlement scam. So, Just like the banking sector, the private sector insurance companies had to be nationalized after independence. Later after LPG reforms 1991 and Malhotra Committee recommendations (1993) the entry of private sector companies was allowed in the insurance sector. Govt has a liberalised the sector further by allowing upto 100% FDI through automatic route. (आजादी से पहले यूरोपीय लोगों ने भारत में शुरुआत करवाई थी लेकिन उसमें रंगभेद और घोटाले होते थे आजादी के बाद राष्ट्रीयकरण हुआ हाल के वर्षों में और उदारीकरण जिसमे निजी कंपनियों को अनुमति दी गई है और विदेशी प्रत्यक्ष निवेश की सीमाओं को बढ़ाया गया है)
- (DATA) Despite variety of reforms undertaken by IRDAI, and the schemes launched by the government of India, Insurance penetration in India is less than 4% and Insurance density is less than 100 dollars- which is lower compared to many of the emerging market economies such as China and Malaysia. (हालांकि सरकार और आईआरडीएआई द्वारा काफी कदम उठाए गए हैं फिर भी भारत में बीमा प्रवेश 4% से कम है और बीमा घनत्व $100 से कम है जो कि चीन मलेशिया जैसे अन्य विकासशील उभरती अर्थतंत्र से मुकाबले काफी कम है.)
- Here are the reasons and remedies (Note: for remedies, simply rephrase / re-logic the problem.)

Scheme	Steps by Govt/IRDAI	Challenges (for remedies just rephrase logic)
ESIC health insurance	During Corona taken certain reforms to increase the number of eligible workers who can join the scheme. (ये संस्थाएं बहूत कम पैसा शेयर बाज़ार में निवेश करती है इसलिए निवेश पर अच्छा मुनाफ़ा नहीं कमा पाती और अस्पताल चलाने के लिए उनके पास पर्याप्त पैसा नहीं देता)	ESIC invests only in debt instruments and Fixed deposits. So it does not generate enough profit to cover the cost of running the hospitals. Only in 2022, decided to invest 15% of the corpus in shares/equities. But that is too little too late.
Life insurance for poor	Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJB) and Pradhan Mantri Suraksha Bima Yojana. (व्यक्ति की मृत्यु पे मुश्किल से दो लाख रुपया का मुआवज़ा दिया जाता है, जो आज की महँगाई में आजीवन परिवार चलाने के लिए पर्याप्त नहीं।)	⇒ Max compensation is only two lakh rupees. It is very difficult to survive on this meager amount considering the cost of education, food, rent and electricity. ⇒ Private sector insurance companies complain that during Corona they've suffered losses by enrolling people in this
Health Insurance for middle class	• IRDAI Ordered the insurance companies to launch standardized policies with affordable prices and easily understandable terms and conditions • IRDAI ordered companies to launch policies for persons with disabilities (PWD), HIV/AIDS, and those with mental illness. (कोरोना में बहुत ज़्यादा लोगों की अचानक मृत्यु से बीमा कंपनियों को मुआवज़े देने के चक्कर में भारी घाटा हुआ है। और उस नुक़सानकी भरपाई के लिए बीमा कंपनियों ने प्रीमियम की दरें बढ़ा दी है। आर्थिक मंदी में कई लोगों के रोज़गार चले गए हैं और वे (बेरोज़गार) अब अपनी बीमा पॉलिसी रिन्यू कराने के लिए आर्थिक रूप से सक्षम नहीं है।)	⇒ To cover up the losses suffered by Corona, companies have increased the premium prices. Whereas post-corona slowdown, people lost livelihood /layoff from jobs, so there can be a dip in the policy-renewals. ⇒ ES suggested Government should purchase health insurance policies in bulk from the insurance companies, and then provide it at subsidized price to the middle class. ⇒ In absence of standardized medicine / surgery costs, sometimes the claims are rejected, and difficult to get justice.
Health insurance	PM-Jan Arogya Yojana (5 lakh health insurance)	Challenges given in the separate section
Crop Insurance	PM Fasal Bima Yojana, wherein both Union and state governments contribute premium, so farmer has to pay only 1.5 to 5% share only. (फ़सल बर्बाद होने पर भी निजी बीमा कंपनियां मुआवज़ा वक़्त पर नहीं चुकाती, इससे हतोत्साहित	⇒ Private sector insurance rejecting the claims arbitrarily / delaying payments = Farmers do not renew the policy. ⇒ W.Begal and a few other state

Scheme	Steps by Govt/IRDAI	Challenges (for remedies just rephrase logic)
	हुआ किसान दोबारा पॉलिसी रिन्यू नहीं कराता। कुछ राज्य सरकारें अपने हिस्से का बीमा किश्त भी नहीं चुका रही इसलिए भी योजना के अमल में बाधाएँ/तकलीफ़ आ रही है।)	governments not paying their share of premium on time / not implementing the scheme / launched separate schemes.
Third Party Motor Insurance	It is statutorily / legally required under the Motor Vehicle Act. (हालाँकि वाहन बीमा लेना क़ानूनी रूप से अनिवार्य है किन्तु फिर भी बोहोत सारे वाहन मालिक आलसी या पैसा बचाने के चक्कर में वाहन बीमा पॉलिसी को रिन्यू नहीं कराते इस पर कठोर निगरानी की ज़रूरत है। बीमा प्रीमियम की रक़म सबके लिए एक समान नहीं होनी चाहिए। जो वाहन मालिक भूतकाल में एक्सीडेंट/अकस्मात/दुर्घटना कर चुके हैं, या जिन पर काफ़ी ट्रैफ़िक चालान कटे हुए हैं, उन वाहन-मालिकों पर ज़्यादा प्रीमियम होना चाहिए इस प्रकार का मॉडल चीन में अपनाया गया है, और भारत ने भी इसका अनुसरण करना चाहिए।)	⇒ Premium amount is fixed by IRDAI. Private sector Insurance companies want to get it increased for healthy profit. ⇒ Need for de-tarrification i.e. IRDAI shouldnot fix single premium. It should depend on the driving habit and past accident record of the driver.- just like in China. ⇒ Some drivers do not renew it out of laziness/carelessness. Need for stricter Vigilance via technology.
Title Insurance	Builder legally required to take it under RERA Act	⇒ N/A
Catastrop--he insurance	Not yet done. Required to cover the farmers and poor people during natural disasters for loss of lives, property, animals, etc.	⇒ Not yet implemented.
Cyber insurance	Nothing remarkable done by Government. ज़्यादा जागृति/कदम उठाने की ज़रूरत।	⇒ Need to create awareness about it, especially after the rising incidents of ransomwares e.g. Wannacry.
Fire insurance	IRDAI ordered insurance companies to launch standard products for fire insurance for home and factories.	⇒ People generally, do not purchase fire insurance for 1) laziness / apathy 2) To prevent true-discovery of the property value to IT/GST authorities / local goons who've contacts with insurance agents.

17.11.1 Insurance for all: steps taken by IRDAI in recent years

⇒ IRDAI removed upper age limit of 65 years to buy new health insurance policies. So even senior citizen can also buy health insurance.

⇒ IRDAI requires health insurance companies to process the hospital bills within 3 hrs of patient discharge.

⇒ IRDAI launched (1) Bima Vahak village salesmen (2) Bima-Vistaar all in one policy (3) Bima Sugam - one stop digital platform. (Ref: Pillar#1D-Prelims-HDT)

17.11.2 🏥🚑 Insurance for all: National Health Claim Exchange (NHCX):

⇒ Health Ministry + IRDAI) developing this digital platform to bring together insurance companies, healthcare sector service providers and government insurance scheme administrators.

⇒ It will (1) improve the information dissemination and insurance-claim processes.

⇒ (2) reducing claim times and reduce the operational costs for the insurance companies in maintaining individual server/webportals for claim-processing. (Similar to ONDC- ref Pillar4B-Prelims)

17.12 💊 Health Insurance (स्वास्थ्य बीमा)

17.12.1 💊🤔: 👴Why public health insurance for poor? (गरीबों को सरकारी स्वास्थ्य बीमा क्यों दिया जाए)

⇒ Public goods = water, sanitation, transport, medical care, schools (सार्वजनिक वस्तुएं-पानी स्वच्छता परिवहन स्कूल चिकित्सा). Rich people can seek private alternatives/Even migrate to better countries. But Poor cannot do it ⟶ Govt support necessary. अमीर लोग अच्छी सेवाएं बिजी बाजार से खरीद सकते हैं, लेकिन गरीब को सरकारी मदद की जरूरत

⇒ "Time Horizon Problem" in a democracy: Frequent election cycles = Govts focus more on short term gain but Healthcare, nutrition, schools: Long gestation period so govts may neglect it. So, if public healthcare cannot be improved in the short term, then at least provide free health insurance to the poor people. (लोकतंत्र में समय क्षितिज समस्या: चुनाव के चक्कर में सरकार दीर्घ अवधि के सुधारों की जगह लघु अवधि के लोकलुभावन पर ध्यान देती है, स्वास्थ्य पोषण शिक्षा नजरअंदाज.)

17.13 💊🤕5L /👥/📅 Ayushman Bharat / PM Jan Aroyga Yojana (PMJAY)

✍🏻 **(Introduction: DATA)** In the last decade, in-patient hospitalization (अस्पताल में भर्ती रोगी i.e. patient who stays in hospital overnight) has increased nearly 300% in India. More than 80% of the hospital expenditure met by out of pocket (खुद की जेब से). So, rural households are forced to use household savings and borrowings = vicious cycle of poverty (गरीबी का विषचक्र). So, Ayushman Bharat launched with following features:

⇒ Upto ₹5 lakh health insurance per year for the 10 crore families identified under SECC-2011. (update: 2024- Now every senior citizen aged 70/> is eligible, irrespective of rich and poor)

⇒ No limit on family size. No limit on age. (परिवार में कितने सदस्य, उनकी क्या उम्र है- कोई सीमा नहीं)

⇒ Where to get treatment? (इलाज कहां पर होगा)= All public hospitals and empaneled private hospitals (by the respective States). [इलाज होगा सरकारी अस्पताल और राज्य सरकार द्वारा अधिकृत निजी अस्पताल में]

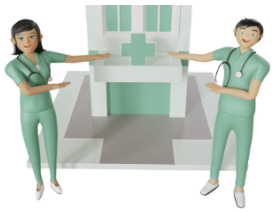
⇒ Hospitals to have Pradhan Mantri Aarogya Mitras (PMAMs/hospital-receptionist-type-ke-log) to help/guide patients in this scheme. These PMAMs are trained by Ministry of Skill Development. (कौशल्य विकास मंत्रालय द्वारा आरोग्य मित्र को तालीम)

17.13.1 🤦♂ PMJAY ⟶ Challenges? (चुनौतियां)

- 😨⚔ **Cooperative Federalism** spirit is missing. (सहकारी संघवाद की भावना की कमी)
    - States have to sign agreement with Union to begin operations. But, W.Bengal already has state-govt sponsored "Swasthyasathi" scheme in State with similar features so CM Mamta has left PM-JAY (2019, Jan).

- 2021: Rajasthan Right To Health Bill 2021 (स्वास्थ्य अधिकार विधेयक) ₹5lakh health insurance coverage available at 1) free of cost for workers, small- marginal farmers. 2) others (e.g. Middle class) can avail at ₹850/year.
- Similar issues in other Non-BJP states. गैर बीजेपी राज्य इसे अपनाने में उत्सुकता / सहयोग नहीं दिखा रहे

- 😰💵 **Fiscal Challenges (राजकोषीय चुनौतियां)**: Budgetary allocations insufficient. If govt borrows more money⟶ ↑ in fiscal deficit. Private hospitals may perform unnecessary surgeries & prescribe excessive amount of medicines to extract more money from govt. (अनावश्यक रूप से महंगी दवाई और शल्यक्रिया)
- 😰📻 Administrative Challenges (**प्रशासनिक** चुनौतियां):
  - Beneficiary identification (लाभार्थी की सही पहचान. अमीर लोग भी गरीब होने का नाटक करके मुफ्त इलाज करवा ले)
  - Doctor to patient ratio (मरीजो के अनुपात मे डोकटरों की कमी)
  - Physical and IT infrastructure, Transport, connectivity upto village level. (बुनियादी संरचना, परिवहन, संचार कि गांव गांव तक पहुंचन नहीं है)
  - Medical privacy of Patient- data may be leaked to pharma companies for their clinical trials and commercial motives. (चिकित्सा डाटा की गोपनीयता/निजता.)



Shortage of Doctors & Hospitals



Shortage of Funds



some Non-BJP states not implementing

17.13.2 📦📦ES21 on PM-JAY (कुल मिलाकर घी-दूध की नदियां बह रही है-आर्थिक सर्वेक्षण)

⇒ 📦📦ES21 analysed the health outcomes of West Bengal (Which did not implement PM-JAY scheme) and its neighbouring States - Bihar, Assam and Sikkim (Who have implemented the PM-JAY scheme) between 2015-2019. And found out W.Bengal has lagged behind them on various health indicators, including Family planning and HIV/AIDS.. पश्चिम बंगाल की तृणमूल सरकार ने प्रधानमंत्री जन आरोग्य योजना नहीं लागू की इसलिए वह स्वास्थ्य में पिछड़ी रह गई और बिहार आसाम और सिक्किम आगे बढ़ गए क्योंकि उन पड़ोसी राज्यों में इस योजना का अमल हुआ है

⇒ PMJAY also helped increasing awareness regarding Family planning and HIV/AIDS when patient visited hospitals and saw variety of posters about it. (अस्पताल यात्रा के चलते परिवार नियोजन और एचआईवी की जागृति भी बढ़ी है)

17.13.3 ✍ Conclusion: PM-JAY (निष्कर्ष)

⇒ Sustainable Development Goal (SDG#3): ensure healthy lives and well-beings at all ages. PM-JAY is a right step in this regard, provided that aforementioned challenges are addressed.(More about SDG in Pillar#6) [सतत विकास लक्ष्य#3- सभी के लिए स्वस्थ जीवन सुनिश्चित करने में योजना मदद करेगी] OR

⇒ Disease burden robs a poor person of his wages and savings. If aforementioned challenges are addressed, PM-JAY can greatly help in poverty removal and human development in India. OR (बीमारी में गरीब आदमी के वेतन और बचत के पैसे बर्बाद नहीं होंगे- जिससे गरीबी निवारण और मानव विकास में मदद)

⇒ If above challenges are addressed, PM-JAY can improve health outcomes, productivity and efficiency of Indian population, thus leading to improvement GDP and in quality of life. (भारतीय जनसंख्या की उत्पादकता और दक्षता में बढ़ोतरी ⟶ सकल घरेलू उत्पाद और और जीवन के स्तर में सुधार)

17.14 HEALTH INSURANCE 4ALL: MANAGED CARE ORGANIZATIONS (MCOS)

Normal Health insurance	Managed Care Organizations (MCOs: प्रबंधित देखभाल संगठन)
covers cost of hospitalisation	yes
N/A	provides home-care for elderly / disabled. (हॉस्पिटल की जगह घर पर ही बुजुर्गों की देखभाल और इलाज किया जाए उसकी व्यवस्था करते हैं।)
Health Insurance companies tieup with high-end private hospital chains with nationwide network (because Health Insurance computer does not have manpower to deal with small small clinics in every city,) so, premiums are higher due to 'corporate model'.	Relatively lower premiums bcoz they tie-up with local clinics/freelance doctors/nurses/caregivers etc. (क्योंकि मरीज़ को 24 घंटे महंगे अस्पताल में नहीं रखना पड़ता. स्थानीय सस्ते वाले डॉक्टरों/नर्सों से घर पे इलाज/देखभाल किया जाता है इसलिए इनके प्रीमियम सस्ते होते हैं)
may not reimburse the bills paid for ordinary diseases that doesn't require hospitalisation e.g. cold-fever/diarrhoea/chickenpox/skin-disease etc.	May give free treatment by local doctors in its network.

- every senior citizen/ patient does not require to stay at the hospital 24/7/365
- but may require a nurse/caretaker for daily bathing / feeding / medicine/ giving insulin injection, etc.
- With the rise of nuclear families and son-daughters going abroad/metropolitan cities for jobs ⟶ increased need for looking after the "stay at home" sick/elderly. (विभक्त-परिवार और बच्चों के विदेश गमन के बाद बुजुर्गों को देखभाल के लिए एसे लोगो की ज़रूरत रहती है।)
- MCO-plans/premiums are cheaper in 1st world countries bcoz patient not required to stay in a high-end private hospital 24/7 = operational cost gets lower for insurance company.
- In India, this model is yet to become fully functional.

Notes:

- Can be cited in answer for how too much capitalism/MNC/Corporate culture harms customers vs how localized business models/solutions benefit the customers.
- The Hindu column went into extreme MBA/PhD-depth of this model, but in my opinion that much PhD is not required. Basic idea enough.
- Can be cited in answer for 'challenges of demographic changes/challenges associated with increasing life expectancy.'

17.15 CHALLENGES TO INSURANCE INDUSTRY (चुनौतियां)

17.15.1 Insurance market is Low-penetration, high-cost says ES26:

DATA: Premium wise largest segment : Life insurance > health > motor vehicle insurance & others

2025	Insurance Density	Insurance Penetration
Formula	=Premium divided by population	=Premium divided by GDP
Value	$97 per person	3.7%
Trend	Risen steadily⇑	Stagnated & declined⇓
reflection	due to inflation, existing clients required to pay more premium, especially in Health Insurance. = **High Cost**	Not many fresh clients added = **Low-penetration**

📕ES26 criticized the Indian insurance market as low-penetration, high-cost. Factors: (1) customer acquisition cost is very high because of offline marketing, agents, and their commissions. Need to explore digital distribution.(2) Many clients don't renew because they do not find value for money, especially in health insurance.

17.15.2 Insurance Sector- general problems

1) 😨**Capital intensive industry (पूंजी प्रधान उद्योग):** Private players not generating enough profits due to poor returns in sharemarket. Heavy costs in paying agent commission rates and marketing advertisements.
2) 😨Corona= many people died/sick = insurance companies required to pay large sum of compensation. This is putting lot of Business stress/losses on insurance and reinsurance companies. (महामारी में काफी लोग बीमार हुए/मर गए. बीमा कंपनियों ने मुआवजा देना पड़ा, मुनाफ़े पर गहरा तनाव)
3) 😨Premiums expensive. Will become more expensive to cover Corona losses. (फ़ीस महंगे हो रही है)
4) 😨Insurance agents need more skill, network than banker. For bankers- loan recovery easier (SARFAESI, I&B) compared to an insurance company that invested into equities/shares of a weak company. (बीमा एजेंट भी एक बैंकर के मुक़ाबले ज़्यादा कौशल चाहिए)
5) 😨**Rural people**: either disinterested / un-served despite IRDAI norms. (ग्रामीण लोग नीरसता दिखाते हैं)
6) 😨**People hesitate** in buying House / Factory / Fire / Theft insurance due to fear of discovery of 'asset value'- IT/GST raids & ransom demands. → India's "**insurance gap**" is high i.e. all the assets are not insured. (लोग अपनी संपत्ति का पूर्ण रूप से बिमा नहीं करवाते, क्योंकि उन्हें आयकर विभाग के छापे और दबंगों की फिरोती से डर लगता है)
7) 😨Insurance: Highly regulated, but **Healthcare: highly unregulated**, so
    - Supply demand mismatch: between (doctors-hospitals) vs. patients.
    - Standardized medical treatment costs difficult to ascertain, unlike car damage.
8) 😨Delays in claim settlement= fewer repeat customers for health insurance. (मुआवज़े में विलंब)
9) Consequently, the level of insurance penetration and insurance density remains low in India .

17.15.3 🪶📕ES24: insurance sector facing following problems

- Global economic slowdown and inflation → inflation becomes the last priority for a person while allocating his allocating his savings. (महँगाई और आर्थिक मंदी में व्यक्ति के लिए बचत का पैसा बीमा पॉलिसी में निवेश करना अंतिम-प्राथमिकता बन जाता है।)
- rising cost of business for insurance companies. (धंधा कराना हुआ महँगा।)
- Insurance polices no longer giving income tax benefits after the new tax regime (NTR) → customer acquisition becoming difficult. (नई आयकर प्रणाली में बीमा-निवेश से करदाता को आयकर में कोई लाभ नहीं होता, इसलिए वह बीमा-निवेश में उदासीन रहता है।)

- Delayed settlements of claims → customer is not renewing the insurance policy. (इस वक़्त पर बीमा धारक को मुआवज़ा नहीं मिल रहा।)
- 2017–22: Insurance companies paid only 73% of claims. Rejected 27% claims.
- 2022–23: IRDAI received over 2 lakh complaints.
- Over 50% of the life insurance clients dropout/stop renewal after fifth year.
- Nuisance of ULIP invetment-cum-insurance plans allows insurer companies to dress up their products with truckloads of jargon/terminologies on survival benefits, maturity benefits, loyalty additions, etc. A majority of clients sign up without knowing what benefits they can expect.
- Almost every patient has to pay cash to settle hospital bills despite having a large 'cashless' health insurance cover, thanks to last-minute disputes between the insurer and the hospital over bills.
- 2026- Iran War, Blockade of Strait of Hormuz - cargo insurance companies suffering.

17.15.4 🪶 Soft-touch regulation not helping. strict-oversight required.

- Soft-touch / Light Touch is a regulatory approach that emphasizes self-regulation by businesses rather than being subjected to strict government oversight. (नरम नियमावली यानी कि उद्योगों को स्व-नियंत्रण के लिए प्रोत्साहित किया जाए। सरकार द्वारा सख़्ती से निगरानी न की जाए।)
- Globally, the private financial sector has repeatedly shown itself to misuse the Soft-touch regulation by doing selective interpretation or misinterpretation of the rules. e.g. USA supreme crisis 2007–08. (हालाँकि प्राय: निजी क्षेत्र द्वारा ऐसी छूट का दुरुपयोग होता है, क्योंकि वे नियमावली का ग़लत अर्थघटन, या अपने फ़ायदे के हिसाब से आधा-अधूरा अमल करते हैं।)
- IRDAI customer complain database: (1) Life insurance: 50% of the complaints related to unfair business practices/mis-selling (2) General insurance: 66% complaints related to delayed & denied settlements. (झूठे वायदे देकर बीमा पॉलिसी बेची जा रही है। वक़्त पर मुआवज़ा नहीं।)
- 66 children in The Gambia died using Indian cough syrup. Stricter Vigilance over pharmaceutical industry required and justified. (व्यापार में सुगमता के चलते दवाइयों में मिलावट खोरी की समस्या बढ़ी है। सख़्त निगरानी आवश्यक।)
- Even in the OTT/social media, soft-touch regulation is appearing to become counter-productive. e.g. (1) 2024- Kolkata RG Kar hospital rape-murder victim's photo circulating in Twitter with obscene comments by users. (2) 2024: Netflix web series about the IC-814 Kandahar hijacking- Real names of terrorists were hidden; only Hindu code names (Bhola & Shankar) were shown. After government intervention, Netflix had to reveal their real names in disclaimer. (3) 2024: Telegram app founder arrested in France for not taking enough step to prevent criminal activities on his platform. (सोशल मीडिया कम्पनियों और वेब सीरीज़ प्लेटफ़ॉर्म में भी स्वनियंत्रण की छोड़छाड़ का दुरुपयोग हो रहा।)
- Thus, soft-touch regulations have not always worked in delivering user safety, customer satisfaction and value for money. (सॉफ्ट-टच/नरम स्पर्श नियम हमेशा उपयोगकर्ता की सुरक्षा, ग्राहक संतोष और खर्च किए पैसों पर सही-मूल्य प्रदान करने में प्रभावी नहीं रहे हैं।)

17.15.5 🪶 Shift from entity to activity based framework - 📕ES26:

- Case: Insurance companies regulated by IRDAI. But, fintech/mobile payment app companies like PayTM also act as agents to sell / renew insurance policies; they're regulated by RBI.
- This causes blind spots and inconsistency in supervision and enforcement of rules. (बीमा व्यवसाय में भिन्न भिन्न प्रकार की कंपनियां जिन पर भिन्न भिन्न नियंत्रक निगरानी करते है। इस कारण कुछ खामियों की अनदेखी/नजर में ना आने का भय रहता है।)

- Economic Survey suggests regulation should shift from entity-based to activity-based frameworks, i.e. anything related to insurance must fully be under the scope of IRDAI. Focus on the nature of transactions rather than institutional labels (e.g. banking company, insurance company). (कंपनी के प्रकार के पे नही, उसकी कार्य की प्रकृति के हिसाब से उसपर रिज़र्व बैंक, IRDAI आदि की निगरानी हो।)

17.15.6 🚪 Private Sector entry in Insurance

Steps have been taken by Govt for enhancing participation of domestic and foreign players in insurance sector of India.

⇒ Has allowed private players after LPG reforms.

⇒ Initiated process for disinvestment of LIC. (एलआईसी का विनिवेश)

⇒ Introduced a bill to facilitate privatization of public sector general insurance companies (सरकारी सामान्य बीमा कंपनियों के निजीकरण के लिए विधेयक)

⇒ Permitted the entry of foreign companies in reinsurance business (पुनर्बीमा क्षेत्र में विदेशी कंपनियों को अनुमति)

⇒ Foreign investment limit has been increased in insurance companies and insurance intermediaries. (विदेशी निवेश सीमा में बढ़ोतरी) -> more in next segment.

17.16 🦅 FDI IN INSURANCE

⇒ (Definition) Foreign Direct Investment (FDI) is the (more than 10% equity / share) investment made by a foreign entity into an Indian company, with the objective to get involved in the management / production of that Indian company. (किसी विदेशी इकाई द्वारा एक भारतीय कंपनी में 10% से ज्यादा शेयर निवेश करना उसे कहते हैं प्रत्यक्ष विदेशी निवेश) (More on FDI 📄Pillar#3A)

FDI limits in insurance sector⟶	😨BEFORE	🤩AFTER (Automatic Route)
State owned/public sector Life insurance corporation i.e. LIC (सार्वजनिक क्षेत्र का जीवन बीमा निगम)	NO RULE	20% (done in 2022)
Insurance company itself (Except LIC)	49%	74% (done in 2021)** 100% (done in 2025)***
Insurance intermediaries e.g. agent/broker, surveyor/loss-assessor, third party administrators (hospital who give treat to health insurance clients) (बीमा क्षेत्र के बिचौलिये/दल्ले)	49%	100% (done in 2020)

17.16.1 🦅🛡️ FDI safeguards made by Govt

** 💼Budget-2021: announced to amend Insurance Act, 1938 to ↑ FDI limit from 49% to 74% in Insurance Companies. With following safeguards: हालांकि कुछ शर्तों के साथ ⟶

⇒ Majority of Directors on the Board and key management persons must be Resident Indians. बोर्ड ऑफ डायरेक्टर तथा कंपनी प्रबंधन के वरिष्ठ पदाधिकारियों में बहुमति भारतीय निवासी होने चाहिए

⇒ At least 50% of Directors must be Independent directors. (स्वतंत्र डायरेक्टर) (Ref#1C2)

⇒ Certain % of profits must be retained as general reserve. (मुनाफे का कुछ प्रतिशत सामान्य आरक्षित निधि के रूप में अलग से रखना होगा, ताकी अगर कोई कांड हो जाए तो इन पैसों से क्षतिपूर्ति हो सके.)

*** 👛Budget-2025: Such companies need to invest entire premium in India only.

17.16.2 🦅 100% FDI in insurance companies?

🤗👌 yes welcome step	😣✋ No, we shouldn't raise FDI
Indian insurance companies will get additional capital	Foreign investors will put pressure on

from Foreign investors = this can help mitigating above challenges.(विदेशी निवेशकों से अतिरिक्त पूंजी मिलेगी तो फ़ायदा है) ⇒ They can expand overseas, mobilize money from Bangladesh/Kenya's market etc. & invest it in Indian economy. (विदेशो का पैसा भारतीय अर्थतन्त्र मे लाना) ⇒ IRDAI prescribes "Investment pattern", there is ombudsman for customer complaints. So mischief is unlikely. ⇒ Further, Companies Act has norms for independent directors, auditing, whistleblower protection, CSR. So, apprehension that foreign investors will cause mischief = unlikely. (निगरानी/नियंत्रण के पर्याप्त प्रावधान है, कंपनियो के लिए बदमाशी करना मुश्किल) ⇒ 💼Budget-2021 too has mentioned safeguards. ⇒ China, Thailand, Indonesia et al ↑ FDI limits in insurance sector. We should also follow their path.	Indian insurance companies to generate more profit. So ⇒ investment in junk bonds that offer higher return ⟶ Collapse. (तुरंत मुनाफा कमाने की चाह में ज्यादा जोखिम वाले बॉन्ड में निवेश) ⇒ Insurance company may reject insurance claims for frivolous reasons to increase its profitability to keep foreign investors happy. (मुनाफाखोरी के लिए ग्राहकों के बीमादावों को अस्वीकार करना)

17.16.3 🦅⚖️ 100% FDI in insurance- Sabka Bima Sabki Raksha bill 2025

It amends the Insurance Act, 1938, the LICAct, 1956, and the IRDAI Act, 1999

Before	After
upto 74% FDI	upto 100% FDI allowed in Insurance Companies (Except LIC)
less clarity	premium collected from Indians by foreign insurance companies will be kept/invested in India only.
less clarity	foreign insurance companies will have to participate in government insurance schemes (e.g. Jivan Jyoti, Fasal Bima, etc.)
less freedom	reduced the capital requirement for foreign reinsurer companies
less freedom	made it easier for merger and acquisition of insurance companies.
less powers	increase the powers of IRDAI similar to SEBI- including search, seizure, power to recover illegally earned profits, etc.
less freedom	one-time registration for insurance intermediaries. No need for renewals.
less freedom	LIC given more freedom to (1) open new zonal offices without requiring prior government approvals. (2) in foreign countries, LIC given more freedom to comply with their local laws, without requiring Indian government or IRDAI approvals.

✍️**Conclusion:** Thus, after evaluating the pros and cons, govt has taken the right step of increasing FDI limits in the Indian insurance sector to improve our insurance density and insurance penetration. (सरकार ने उचित कदम उठाया है। भारत में बीमा सूचकांकों में सुधार के लिए यह एक उपयोगी कदम साबित होगा)

17.16.4 ✍️ Insurance- conclusion ultimate

Absence of insurance may push a family towards greater poverty and deprivation. Thus, even for SDG GOAL 1: No Poverty, we need to ensure hundred percent life insurance and health insurance coverage to all the families in India.



18 Pension Sector: Initiatives and Challenges

(Definition) A pension is a regular income paid to a person after they retire from work. It can be paid by a govt, an employer, or a private pension plan. Pensions are designed to provide financial security in retirement. (निवृत्ति के बाद नियमित रूप से दी जाने वाली रकम को पेंशन कहते हैं. बुढ़ापे में वित्तीय सुरक्षा के लिए बहुत जरूरी)

ES26 projections	2021	2036
Old-age population बुजुर्गों की आबादी (60+)	10.1%	14.9% ↑
Working-age population कार्यशील आयु में आबादी (15–59)	64.2%	64.9%

18.11 Pension Challenges:

Metric	India	Advanced Markets
Pension assets as a percentage of GDP	15–20%	60–100%

18.11.1 Pension Challenges: Impact of inflation (महंगाई के चलते मूल्य मूल्यह्रास)

⇒ In the Atal pension scheme, a pensioner gets up to ₹5000 monthly pension after crossing the age of 60 (depending on the monthly contributions, he had made during his working-age.)

⇒ However, the critics argue that after 40 years from now, the purchasing power of Rs.5000 will be hardly Rs.1000-2000 of present, depending on level of inflation. So it is nowhere near enough for meeting even basic necessities like education, electricity bill or house rent.

18.11.2 Amount of pension not enough says ES24:

⇒ Atal Pension Yojana (APY) gives monthly pension of Rs. 1,000/- to 5,000/- from age of 60, depending on how much premium/contributions by made the subscribers.

⇒ Over 90% of the APY clients will get only ₹1,000 monthly pension only. Because they are too poor to contribute more premium/fees to join ₹5000-walla plan.

⇒ Global shift from defined benefit (DB e.g. OPS) to defined contribution (e.g. NPS) arrangements, wherein individuals carry all risks relating to investment returns & inflation- except for Unified

pension schme launched in 2024. (पेंशन के लिए व्यक्ति स्वयं ज़िम्मेदार है, आपका पेंशन शेयर बाज़ार के प्रदर्शन पे निर्धारित है। सरकार की तरफ़ से ज़्यादातर योजनाओं में कोई गारंटी नहीं।)

18.11.3 Investors be becoming disenchanted says 📕ES24: (निवेशकों में उदासीनता।)

⇒ Rising inflation has damaged the investors' confidence in the ability of existing pension product to deliver inflation proof pensions. (महँगाई से सुरक्षित पेंशन योजनाओ के चलते निवेशक इसमें जुड़ने में उदासीनता दिखा रहे हैं।)

⇒ New tax regime (NTR): no income tax benefit for joining pension schemes. (नई आय कर प्रणाली में पेंशन निवेश पे कोई आयकर-माफ़ी नहीं।)

18.11.4 Everyone is not covered. e.g. gig-worker, unorganized worker says 📕ES24:

⇒ Gig-economy = Stable or structured employer-employee relationship is disappearing. In such circumstances, pension arrangements must become more individually focused and less reliant on third parties (e.g. the factory-owner under EPFO).

⇒ only 6% Indian in private companies have pension plans.

⇒ Need to increase awareness among students why financial discipline, long-term savings and a pension account is necessary. (स्कूल से ही बच्चों में जागृति फैलानी चाहिए)

18.11.5 👴🏻 Pension Challenges: Impact of life expectancy / demographic change (जीवन प्रत्याशा बढ़ रही)

- Usually, the next generation of taxpayers to fund the pensions paid to previous generations (e.g. old pension scheme, NSOAP etc Government sponsored schemes).
- But, birth rates & Total fertility rate (TFR) continue to fall → we'll not have enough tax payers in future, to run such schemes. (सामान्य रूप से नई पीढ़ी के करदाता पुरानी पीढ़ी के पेंशन बोझ को सहते हैं। लेकिन कुल-प्रजनन दर में गिरावट यह समस्या पैदा कर सकती है।)
- Between 1951 to 2011, the life expectancy of Indian male has increased from 37 years to 67 years. While, for Japanese people, it is around 85 years.

If the person is allowed to retire at 60, and gets pension upto the age of 85, then it may cause

- A) loss for the pension company / government (if government is contributing the pension)
- B) loss of workers for the factory. (if enough number of young children not born)
- So, in recent years, developed nations increasing the age of retirement before the pension starts.

Nation	Before: retirement age	After:
Japan	60	65
France	62	65 (resulting in protests/riots)
China	60 (male); 50-55 (female depending on job)	63 (male); 55-58 (female depending on job type)
India	60 (Atal Pension etc.)	Should be increased says ES.

⇒ Economic Survey suggested India also need to do similar, but it should be notified at least 10 to 15 years in advance so that the people can make the retirement plans / investment decisions accordingly. (लोगों की जीवन प्रत्याशा बढ़ रही है इसलिए निवृत्ति की आयु को भी बढ़ाना चाहिए अन्यथा पेंशन कंपनियों को घाटा हो सकता है और फैक्टरी में मज़दूरों की किल्लत भी हो सकती है जापान फ्रांस आदिने ऐसा किया है. भारत ने भी गौर करना चाहिए. लेकिन ऐसा कोई भी सुधार करने से पहले 15 साल पहले से ही सूचित करना चाहिए. ताकि व्यक्ति उस हिसाब से अपना वित्तीय आयोजन कर सके - ऐसा आर्थिक सर्वेक्षण का मंतव्य).

18.11.6 Nuclear family is a challenge says 📕ES24:

- urbanisation → joint traditional family support system declining → even a greater necessity for an independent source of pension income in old age.(इन पुराने ज़माने में संयुक्त परिवार में बुजुर्गों का

ख़याल नई पीढ़ी द्वारा रखा जाता था लेकिन विभक्त-परिवार और बढ़ते शहरीकरण के चलते बुजुर्ग का ख़ुद का पेंशन होना बहुत ज़रूरी।)

- Life expectancy is going up, a steady income/pension required to prevent old-age poverty. (जीवन प्रत्याशा बढ़ रही है तो उसके मुताबिक़ दीर्घावधि के लिए बड़ा पेंशन मिलना ज़रूरी।)

18.11.7 Women need separate pension account suggests 📕ES24:

- Women in the family must have their own pension account given their higher longevity (जो महिलाओ की जीवन-प्रत्याशा पुरुषों से अधिक। इसलिए महिलाओं का ख़ुद का पेंशन खाता होना बहुत ज़रूरी।)
- Bcoz in Govt schemes, if the account is in the name of husband, then, widow will be eligible for 50–60% pension only. (सरकारी पेंशन योजनाओं में यदि खाता पति के नाम पर खुला है तो उसकी मृत्यु पर विधवा केवल 50–60% पेंशन की हक़दार है)

Scheme	Entitlement for Husband	Widow to get _ _ _ after husband death
PM-Shram-Yogi maan-dhan for workers	₹3000 per month	50% = ₹1500 per month
UPS-unified pension scheme for Government employees	₹ 10000 or more, depending on the length of service	60% of husband's pension

18.12 📘ES25's Observations on Pension Sector

18.12.1 👦👴 Pension sector challenges as per 📘ES25:

- Globally, the elderly population has surpassed children.
- Growing elderly population and increasing life expectancy → pension companies must pay for more years. (बुजुर्गों की बढ़ती आबादी और जीवन प्रत्याशा)
- Pensioners save less than active workers, leading to lower national savings in countries with a larger elderly population. (नौजवान श्रमिकों की कमी से राष्ट्रीय बचत में कमी होती है, क्योंकि बुड्ढा पेंशनर तो इतना पैसा बचा नहीं सकता।)
- Countries like Japan, France, and China raised retirement ages, causing worker resentment. (निवृति आयु बढ़ाने पर मज़दूरों में नाराज़गी।)
- Rising inflation increases need for higher pension amount. (महँगाई का बोज)

18.12.2 👦👴 Pension market not yet fully developed in India says 📘ES25:

Nation	OECD Nations^^	India
Pension assets as a % of GDP	80%	EPFO (17%) & NPS (4.5%)

- ^^ Organisation for Economic Co-operation and Development (OECD) = more in pill3c.
- Out of the total number of pensioners in India- 80% are Atal Pension Yojana (APY) subscribers. APY gives hardly ₹1–5000 pension.

18.12.3 👦👴 Micro pension scheme problems as per 📘ES25:

- Micro-pension schemes like Atal Pension and Shram Yogi Maan-Dhan provide small pensions to poor families.
- Poor people often prioritize immediate consumption over saving for pensions or insurance. (तुरंत उपभोग मैं पैसा ख़र्च कर देते है।)
- Consequently, 93% of Atal Pension subscribers joined the ₹1,000 plan because the ₹5,000 plan requires more contributions.

- Behavioral interventions like simplifying enrollment and providing timely reminders for renewal to increase active subscribers in micro-pensions. (गरीबों के बर्ताव में सुधार के लिए क़दम उठाने ज़रूरी।)

18.12.4 Pension- Steps by Govt & Challenges

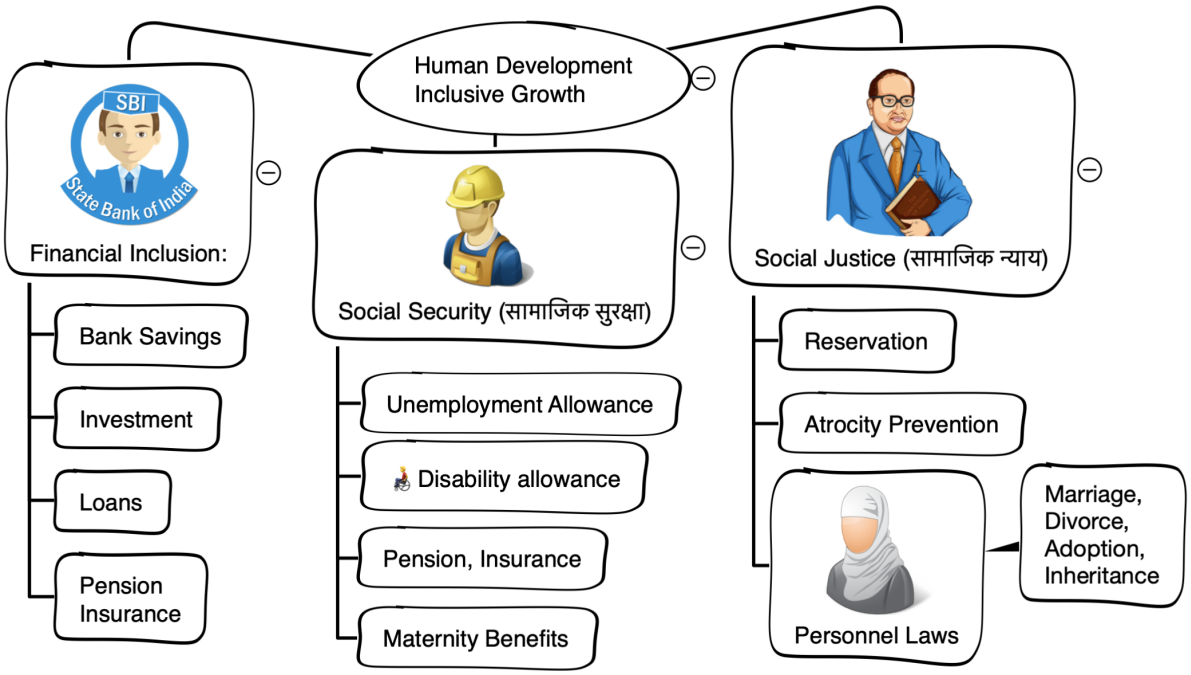
Scheme	Steps by Govt	Challenges
EPFO	⇒ During Corona Government paid premium on behalf of worker and owner depending on size of the factory under Atmanirbhar Bharat Rozgar Yojana. ⇒ Introduced apps and portals to make it easier to pay premium / compliance documents. ⇒ Self-certification for the startup companies to prevent harassment by the EPFO officers.	⇒ EPFO mostly invests in G-sec, Bonds. So unable to generate very good returns for the pensioner yet lower middle class worker cannot opt out of it because of the legal compulsion. ⇒ Not subject to PFRDA control. EPFO Central trustee board consist of minister / trade union leaders so conservatism in investment of money. Professional management is required. ⇒ To avoid EPFO paperwork/regulatory compliance, industrialists recruit the worker without formal contract. Such worker suffers problems in availing social security, applying for bank-loans, child's school admission due to lack of documentary proof about his employment. ⇒ Gig-workers e.g. swiggy Zomato delivery boys uncovered.
NPS	Originally launched for the government employees and then expanded to all citizens. (नई पेंशन प्रणाली में सरकारी कर्मी को पेंशन शेयर बाज़ार के प्रदर्शन के हिसाब से मिलेगा। इसलिए वे चाहते हैं कि पुरानी पेंशन प्रणाली अमल में हो। लेकिन पुरानी पेंशन प्रणाली में सारा वित्त-बोज सरकार पे पड़ेगा, तो ग़रीब कल्याण योजनाओं के लिए पैसा कम बचेगा)	- Return/pension depends on performance of the Sharemarket. Government employees want the old pension scheme (OPS) where government directly paid pension. - Rajasthan etc State govts reverting back to OPS, creating challenges in federal relationship, because NPS/PFRDA says we'll not return money back till maturity. - 2024: Govt launched UPS (UNIFIED PENSION SCHEME) to give assured pension to Govt employees. Ref Prelims handout for more.
Pension schemes for lower middle	• Atal Pension, Shram Yogi Maan-Dhan etc. • Monthly pension from 1,000 to 5000 depending on	⇒ Because of the financial constraints or lack of discipline, the subscriber often does not pay the premium on time. Yes, there is auto debit function in the bank

Scheme	Steps by Govt	Challenges
class	scheme and premium-money contributed. • Govt co-contributes premium in some of these schemes e.g. Shram Yogi Maan-Dhan (यहाँ पर पेंशन की मात्रा बहूत कम है महँगाई के हिसाब से बढ़ नहीं रही। कई ग़रीब लोग जुड़ने के बाद पॉलिसी रिन्यू नहीं करा पाते क्योंकि उनके बैंक बचत खाते में इतना पैसा भी नहीं होता)	account but sometimes they do not even maintain enough balance due to financial problems. ⇒ Amount of pension is not enough considering the level of inflation. ⇒ Pension to start after age of 60. But, with increasing life expectancy, government/pension company may suffer losses. ⇒ So need to increase the age of retirement similar to France and Japan, but there could be backlash as happened in France.
Pension for poor	NSOAP / National social assistance programme (कभी कभी भ्रष्टाचार के चलते ग़रीब/लायक को नहीं पेंशन मिलता, और अमीर/नालायक को पेंशन मिलता है)	⇒ Amount of pension is not enough considering the level of inflation in present and future. ⇒ Inclusion error (rich people getting benefit) and exclusion error (poor & migrant workers denied benefit) due to corruption. Need to fix via JAM-Trinity & portability of pension schemes.

18.12.5 Pension Conclusion: Ultimate



19 (👨🌾👨🔧:💰)→💳FINANCIAL INCLUSION (वित्तीय समोवेशन)



⇒ **Financial Inclusion:** providing access to banking, investment, pension, insurance and credit (loan) facilities to each citizen. This ensures social, economic and transaction security (**लेनदेन में सुरक्षा**) (S-E-T), improves social harmony, women empowerment, helps reaping the benefit of "LESS CASH Economy" (📄Ref: Handout#1A1) सभी नागरिकों को बैंकिंग, निवेश, पेंशन, बीमा और ऋण की सेवा प्रदान करना= उसे वित्तीय समोवेशन कहेते है

⇒ **Social Security (सामाजिक सुरक्षा):** a system of payments / assistance by the government to citizens who are ill, handicapped, poor, aged or unemployed. (बीमार, विकलांग, गरीब, वृद्ध या बेरोजगार को आर्थिक मदद करना)

- The foundation of SS in our constitution @DPSP Article 41- State to provide public assistance to its citizens in case of unemployment, old age, sickness and disablement; and
- DPSP Article 42- The State shall make provision for securing just and humane conditions of work and for maternity relief. (राजनीतिक पथदर्शक सिद्धांतों में जिक्र)

⇒ **Social Justice (सामाजिक न्याय):** distribution of wealth, opportunities, and privileges within a society- through reservation in jobs, admissions and election and through legal safeguards for protection of civil rights, prevention of atrocity and personnel laws. (समाज के विभिन्न जाती/वर्गों में आरक्षण चुनाव तथा कानूनन अधिकारों द्वारा संपत्ति, अवसरों और विशेषाधिकारों का वितरण= उसे समाजिक न्याय कहेते है)

⇒ Collectively, these three (FI,SS,SJ) help in human development, inclusive economic growth and Sustainable Development Goals (SDG). (More in 📄Pillar#6) [कुल मिलाकर वित्तीय समावेशन, सामाजिक सुरक्षा और सामाजिक न्याय इन तीनों की मदद से मानव-विकास,समावेशी आर्थिक वृद्धि, और सतत् विकास लक्ष्यों को हांसिल करने मे हमें मदद होगी]

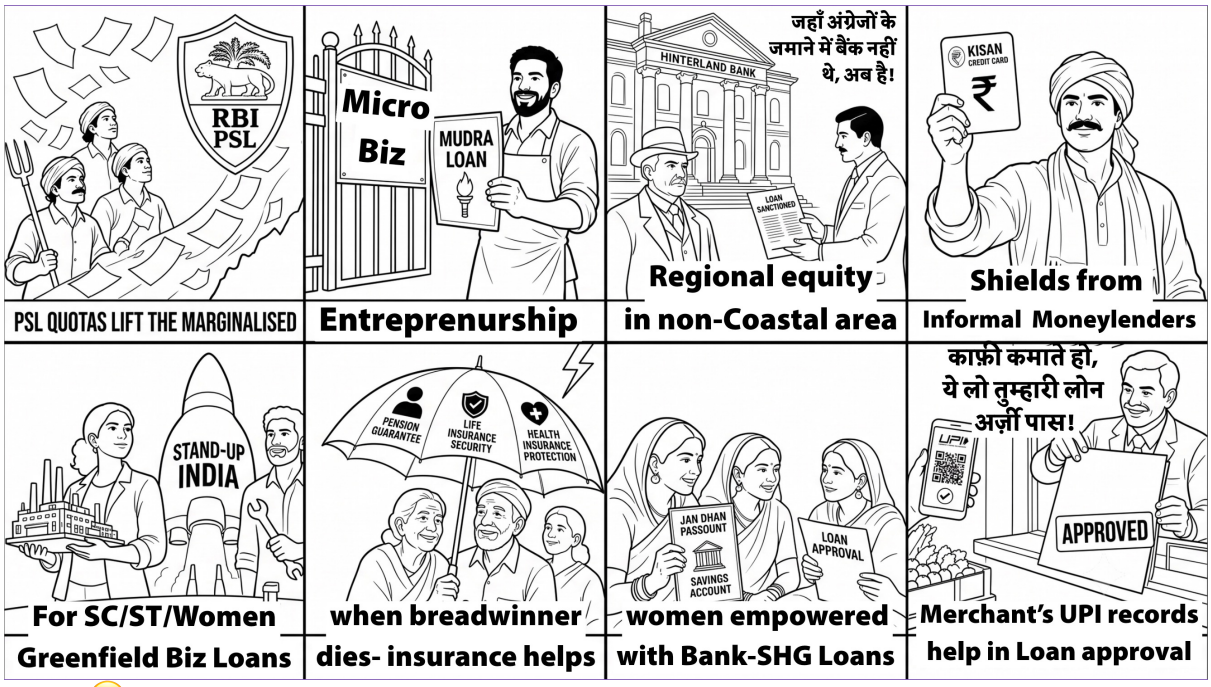
19.11.1 DATA: RBI's Financial Inclusion Index (वित्तीय समावेशन सूचकांक)

RBI is publishing a financial inclusion index annually. Its score ranges from 0–100. where 0 represents complete financial exclusion and 100 indicates full financial inclusion.

Year	2017	2021	2022	2024	2025
Score	43	54	56	64	67

While the score has steadily improved, but we are yet to achieve 100% financial inclusion.

- It has three parameters — Access, Usage, and Quality.
- Annual tracking builds accountability for government and bankers.
- District-wise data also lets RBI focus its initiatives in areas with weak financial inclusion.



19.12 😢Financial inclusion: Banking: steps taken and challenges

Steps:	😢 Challenges:
PM-JDY (2015): Bank account for the poor people, overdraft facility upto ₹10,000; DBT for many schemes, auto-debit subscription fees for other government sponsored schemes for Insurance and pension.	⇒ Sudden rise in number of deposit after demonetization, hinting that poor people were used as money-mules by the rich, for money laundering purpose. ⇒ Many accounts are still have zero balance. Meaning some people are very poor or whatever little savings left they had, they've spent it on extravagant marriage / social events / superstitious religious practices etc. So need to create more awareness about importance of saving and financial planning, mass-weddings to save costs etc.
Microfinance and Self Help Group	Refer Mains Pillar6
LEAD Bank scheme, State level Bankers committee, PSL quota	⇒ Penetration need to be improved for Naxal/LWE/NE areas.
DICGC deposit insurance upto ₹5 lakh	If deposit >5 lakh, have to wait for the DECADES for the compensation until the bank is liquidated. (e.g. Share broker Ketan Parekh-

Steps:	😢 Challenges:
	Madavpura Coop Bank scam)
Loans: Mudra for micro enterprises, PM-Svanidhi for street vendors, Standup India for women-SC/ST startup entrepreneurs; schemes where govt provides interest subsidies / credit guarantee for education loan, home loan	Concerns over NPA / repayment Loans are not passed easily due to lack of property/ ownership/ income documents.
Loans to MSME / stressed companies after Corona- Emergency Credit Line Guarantee Scheme (ECLGS) and Subordinate Debt	Similar to above.
Loans: Farm loan subsidies / waiver	😥Farm loan waivers making the farmers careless and indisciplined in loan repayment – said ES. More details given below

19.13 🔪 FINANCIAL INCLUSION: BANKING: FARM LOAN WAIVERS

⇒ (DATA & Origin of Problem) As per National Statistical Office (NSO), The monthly income of an agriculture household is ₹ 10218 (2019). Such meagre amount leaves hardly any surplus savings. Therefore, majority of the Indian farmers rely on loans to purchase the seeds, fertilisers and other inputs for the next cropping cycle. And they may struggle to repay the loans, if, A) there is poor monsoon or B) lack of remunerative price at APMC Mandi.

- 2008: 💼Budget ⟶ Agricultural Debt Waiver and Debt Relief Scheme (ADWDRS). On their outstanding crop-loans upto 29/Feb/2008⟶
  - Small and marginal farmers given 100% debt waiver : कर्ज माफी;
  - Other farmers were given 25% debt relief : ऋण राहत.
- FinMin ⟶ Department of Financial Services ⟶ paid the dues to the banks in a phased manner on behalf of farmers ⟶ 2009: 15th Lok Sabha Election won by UPA/Congress.
- **2016-18:** The state governments of Tamilnadu, Maharashtra, Karnataka, Uttar Pradesh, Jammu Kashmir, Punjab, Chhattisgarh, Andhra,Telangana et al. also launched in similar debt waiver and debt relief.
- **2017:** 💼 Budget gave 60 days interest waivers to farmers on account of the problems farmers suffered during demonetization in 2016. (नोटबंदी के बाद कुछ दिनों के लिए ब्याज माफ किया था)



19.13.1 🌽🔪💰🎈=👌Agri-Finance ⟶ Farm loan waivers: arguments in favour

1. 2008: Post-subprime crisis and global financial crisis, the demand for textile declined in the international market ⟶ cotton prices fell in India ⟶ farmers suffered. वैश्विक आर्थिक संकट के बाद कपास/रुई निर्यात में कमी

2. 2014: drought, 2015: again drought. अकाल 😰
3. 2016-17: Demonetization → cash shortage → price of agricultural commodities fell.
4. Thus, farmers are suffering for a decade (2008-18), as evident from the violent agrarian agitations in Madhya Pradesh, Uttar Pradesh and Maharashtra in 2017 and 2018.
5. While corporate borrowers are eligible for loan restructuring, farmers are not given such benefits. So farmers should be given loan waiver. उद्योगपतियों के कर्ज का तो पुनर्गठन हो जाता है
6. "Debt overhang" (ऋण की अधिकता): a situation where all current income gets used up in repaying the accumulated debt. Farmer feels no motivation to invest in his 'business'. Debt waiver cleans up his liability. It'll spare his income /savings for investing in better seeds/fertilizers and machines. (Counter: 📦📦ES20 found no such evidence.)

19.13.2 🌽🔪💰🎈=👎Agri-Finance → Farm loan waivers: arguments against

1. 🚭**Moral Hazard (नैतिक जोखिम):** Lack of incentive to be "disciplined", when risky behavior is insured by someone. If the government continue to give loan waivers, farmers will have no discipline to be efficient, cost-savvy and hard working. (जरूरी नहीं कि कर्ज माफी के बाद वह जिम्मेदार बनके श्रम करे)
2. "Loan waivers undermine honest credit culture. NPA problem will get aggravated.", said ex-RBI Governor Urjit Patel.
3. 📦Whenever elections are near, agri-loan defaults are increasing. It hints farmers are strategically defaulting on loans, in anticipation of waiver. (चुनाव के कारण कर्ज माफ कर दिया जाएगा, ऐसी रणनीति के साथ, जानबूझकर किसान लोन वापस नहीं कर रहे)
4. Loan waiver **did not ↑ our crop production or GDP growth, said** 📦📦ES17 (कर्ज माफ़ी के बाद फसल उत्पादन तथा सकल घरेलू उत्पाद में बढ़ोतरी होने के कोई सबूत नहीं मिले)
5. Thus, Government Intervention has hurt more than it has helped., says 📦📦ES20 (सरकारी दखल से यहाँ पर मदद कम और तकलीफ ज्यादा हुई है-ऐसा आर्थिक सर्वेक्षण का मानना है)
6. **Loan waivers** → ↑ fiscal deficit → households and business firms will be hurt. (More in 📄 Pillar#2)
7. **Total farm loans:** ~5.5 lakh cr (2013). Out of that ~60% by formal lenders (banks, Microfinance etc.) Rest by informal money lenders (*Village Baniya, Shroff* etc.) So even if loan waivers are announced, all farmers will not benefit from it. जिन्होंने अनौपचारिक स्रोतों से कर्जा लिया उन किसानों को कोई लाभ नहीं मिलेगा
8. **Govt's expenditure** on healthcare is LESS than 2% of GDP. WHO recommends 5%. If all the farm loans are waived it will cost 1.5% of GDP. So, if government has so much spare money to spend, it'll be better to spend in public healthcare which will benefit both farming and non-farming families. Similar argument for education expenditure. बेहतर होगा हम स्वास्थ्य तथा शिक्षा पर पैसा खर्च करें ना कि किसानों का कर्ज माफ करने में

19.13.3 🌽🔪💰🎈=👎☠️Anti-Argument: Loan waiver will not stop farmer suicide

Farmer suicide is a result of: (किसान की आत्महत्या के विभिन्न कारण)

1. farmer have small sized farm, lack of irrigation, good quality seeds and fertilizers → Not large quantity of agro-production = can't earn lot of money by selling it. (खेत छोटे हैं, उत्पादन इतने ज्यादा जत्थे/हज़ारों किलोग्राम में नहीं कर पा रहे कि जिसे बेचकर मोटी रकम कमा सके)

2. Lack of remunerative prices because of challenges in APMC, MSP and transport-storage infrastructure. (उत्पादन की किसान को अच्छी कीमती नहीं मिल रही)
3. Lack of financial inclusion and financial planning. Even after good monsoon and good harvest, they waste money on social events and pilgrimage. (अच्छी फसल-किसान सामाजिक प्रसंगों, तीर्थ यात्राओ में पैसा बर्बाद करते हैं)

So, loan waiver is a short-term remedy that can't prevent farmer suicide until above three issues are addressed. (क़र्ज़ माफ़ी एक अस्थाई उपाय है, जिससे कायमी/स्थायी रूप से किसान-आत्महत्या की समस्या हल नहीं होगी)

(More AGRO SCHEMES in in Pillar#4A-Agri Schemes)

19.13.4 🌽🔪💰🎈✍️ Farm Loan Waiver: Conclusion

- ✓ From the aforementioned analysis, it's evident that farm debt waiver will have negative consequences for Indian economy. (कर्ज माफी से भारतीय अर्थतंत्र पर नकारात्मक असर होगी. यह किसानों की समस्याओं को स्थाई रूप से हल नहीं करेगा)
- ✓ Debt waiver is not a sustainable solution against agrarian distress, we should work on more efficient and targeted ways to help farmers. (लक्षित रूप से किसानों की मदद की जाए) (More in Pillar#4A-Agri Schemes)

19.14🌱 Financial inclusion: Investment: steps taken and challenges

🌱 Steps	😢 Challenges
SEBI's awareness programs, Corporate Affairs ministry's Investor Education Protection Fund (IEPF), RBI allowing retail investors to directly purchase government securities.	Barely 20% of Indian families invest in share-market. + many more points from Mains-Pillar1C about deepening of the capital market.
👛👧 Small Savings: Mahila Samman Bachat Patra (2023), Sukanya Samriddhi Yojana (2015), Kisan Vikas Patra, Public Providend Fund (PPF) etc. where interest rate is decided by the government	In 2022: PPF = 7.1% but CPI inflation 7.8% so Negative real interest rate of minus 0.7%. Discourages the people from investing and encourages them to go for gold, real estate, finfluenzer ke bogus tips on sharemarket/bitcoin for better returns.
Chit funds- Type of connective small saving scheme for poor people. Government made legal reforms such as Banning of Unregulated Deposit Schemes Act, 2019	Saradha Group Scam (2013), Rose Valley Scam (2013). Real masterminds not yet given proper punishment, investors not yet given refund.

19.15🌱✍️ Financial inclusion: Insurance & pension: steps and challenges

Big list already given in earlier sections for pension and insurance -including their problems.

- **Insurance**: Postal Life, ESIC, PM Jeevan Jyoti & Surkasha Bima (₹2 lakh), PM-JAY (₹5 lakh annual health insurance per family), PM-Fasal Bima (1.5-5% premium);
- **Pension**: EPFO, NPS, Atal Pension (1-5k), PM Shram Yogi Mandhan (3k), PM Vay-Vandana (@LIC but now discontinued), Maan-Dhan Yojanas (3k/pm then spouse gets 1500 after death of husband/wife)

19.15.1 🌱 Financial Inclusion- Conclusion



19.16 📙ES24: PM-JDY GREAT, DIGITAL FINANCIAL INCLUSION IS THE NEXT GOAL

- 2014: Pradhan Mantri Jan Dhan Yojana (PMJDY) scheme launched. 2024: after ten years, it has reached a milestone with over 50 crore accounts.
- Had Government not launched this scheme, it would have taken another 47 years to achieve 80 per cent of adults with a bank account. (यदि सरकार यह योजना शुरू नहीं करती तो और 47 वर्ष लग जाते वित्तीय समावेशन में।)
- PM-JDY is enhancing direct benefit transfer (DBT) flows through these accounts, promoting digital payments using RuPay cards, UPI etc. (प्रत्यक्ष लाभ अंतरण)
- PM-JDY provides overdraft facility and accidental health insurance as well. (ओवरड्राफ़्ट ऋण, दुर्घटना बीमा)
- PM-JDY Bank account can directly deduct monthly premium for Atal pension scheme (₹1k-5k pension), Shram-Yogi Maan-Dhan (₹3k pension), Jeevan Jyoti Bima yojana (₹2 lakh insurance) etc. (विविध बीमा पेंशन योजनाओं में सीधा बैंक खाते से पैसा काटा जाता है।)
- PM-JDY helps developing financial savings record, digital payment footprint, making it much easier for banker to approve the loan application. (व्यक्ति की बचत का औपचारिक रेकॉर्ड बनता है, जो उसकी लोन अर्जियों को जल्दी पास करने में मदद करेगा।)
- Thus, it is helping in the 360° financial inclusion of beneficiary.
- Thus, Financial inclusion is within reach; digital financial inclusion is the next goal i.e. utilising UPI, TREDs, ONDC etc for further enhancing the livelihood opportunities of people. e.g. Street-Vendor using UPI to accept payment and ONDC for home-delivery and bankers passing his loan application based on his digital payment footprint. (जनधन योजना के तहत गरीबों के बैंक खाते खोले गए हैं और उनके सर्वांगी वित्तीय समावेशन में काफ़ी मदद मिली है और अब हमारा अगला लक्ष्य होना चाहिए डिजिटल वित्तीय समावेशन।)

19.16.1 📕ES24: MFI are important for rural development

- Globally, the Indian microfinance sector is the second largest after China in terms of number of borrowing customers in India.

- 2015: RBI has recognised "Sa-Dhan" as "Self-Regulatory Organization (SRO)" for the microfinance sector.

Though MFIs serve both rural and urban poor, they are oriented more towards rural areas in India

Micro-Finance Clients	Women	SC/ST	Rural people
%	98%	23%	74%

- Note: In above table the sum (+) will not be 100% due to overlapping customers.

19.17 FINANCIAL INCLUSION: RIGHT TO DIGITAL ACCESS - SC JUDGEMENT

- Prevention of Money-laundering Act, 2002 mandates every bank and NBFC to verify client identities / Know Your Customer (KYC). It can be done through digital/virtual modes such as:
- Real-time video interaction. Clicking a photo with a code written on white paper; Signing on a paper physically or digitally; Verifying OTPs in 30 seconds; Reading a random code flashed on the screen.

But, Digital-KYC often uses AI tools, leading to

- rejections of acid-attack survivors with facial disfigurement.
- Blind users struggle to submit OTP within 30 seconds.
- Video-KYC facial movements like blinking and head tilting are difficult for PH.
- There's no screen-reader prompt for camera alignment, audio cues for lighting or focus, or way to differentiate document sides during upload.
- Consequently, blind applicants are often asked to appear in person or rejected on vague technical grounds. (धनशोधन विरोधी क़ानून के तहत सभी बैंक व एनबीएफसी कंपनियों ने अपने ग्राहक को जानो/केवाईसी प्रक्रिया करनी होती। डिजिटल तरीक़े से भी केवाईसी हो सकता है, किन्तु विकलांगों के लिए यह प्रक्रिया कई बार जटिल और असंभव बन जाती है, जैसे कि ऐसिड अटैक पीड़ित का चेहरा ए.आई. नहीं पहचान सकता, अंध व्यक्ति 30 सेकंड के भीतर OTP पासवर्ड नहीं दे सकता ।)

19.17.1 SC judgement- Right to Digital Access

- Article 21 of the Constitution guarantees the 'right to digital access', which is intrinsically linked to the 'right to life and liberty'.
- The state must ensure universal accessibility to digital infrastructure.
- KYC norms and tools must be modified to accommodate 'persons with disabilities' (PwD).
- Banks and NBFCs must conduct periodic accessibility audits by certified professionals and involve PwD in testing for apps and websites. (अनुच्छेद 21 के तहत जीवन का अधिकार है उसी के तहत डिजिटल डिजिटल पहुंच का भी अधिकार है। विकलांगों के लिए "अपने ग्राहकों को जानो (केवाईसी)" प्रक्रिया सरल बनानी होगी। बैंक-एनबीएफसी वेबसाइट और एप्स का ऑडिट हो, और विकलांगों को इसके परीक्षण में शामिल किया जाए।)

✍️ **Conclusion**: While in many ways, digital technology can improve the quality of life for PH, because of the bureaucratic hurdles /red tape/apathy, the same digital technology results in their exclusion. So, appreciable judgement delivered by the Supreme Court. It will help in a long way in the financial inclusion of the physically challenged persons in India. (डिजिटल तकनीक कई तरह से दिव्यांगों (PwD) के जीवन की गुणवत्ता सुधार सकती है, लेकिन नौकरशाही लालफीताशाही के कारण यह तकनीक उनकी बहिष्करण का कारण बन सकती है। सुप्रीम कोर्ट का सराहनीय फैसला भारत में दिव्यांगों की वित्तीय समावेशन में मदद करेगा।)

19.18 MOCK QUESTIONS FOR MAINS

1) **(PYQ-Mains-2016)** Pradhan Mantri Jan-Dhan Yojana (PMJDY) is necessary for bringing unbanked to the institutional finance fold. Do you agree with this for financial inclusion of the poorer section of the Indian society? Give arguments to justify your opinion.
2) **(PYQ-Mains-2026)** Examine the view that financial inclusion is an integral part of social and economic inclusion in a country like India. Also throw light on the usefulness of the R.B.I.'s Financial Inclusion Index. (10m, 150words, CSM'26) Model Ans
3) Explain the significance of financial inclusion & social security for achievement of Sustainable Development Goals (SDG) for India. भारत के लिए सतत विकास लक्ष्यों की प्राप्ति के लिए वित्तीय समावेशन और सामाजिक सुरक्षा के महत्व को समझाएं। Note: SDG-topic is unfinished until we learn Pillar6.
4) Discuss the significance of crop insurance and health insurance in eradication of rural poverty. Enumerate the notable initiatives of the Government in this regard. ग्रामीण गरीबी उन्मूलन में फसल बीमा और स्वास्थ्य बीमा के महत्व पर चर्चा करें। इस संबंध में सरकार की उल्लेखनीय कदमो की सूचि दीजिए.
5) How is Ayushman Bharat-PM-JAY is different from the previous centrally sponsored schemes on health insurance? Identify the fiscal and administrative challenges in its implementation.
6) After nationalisation, the public sector insurance companies have not been able to fulfil their mandate as much as the public sector banks. Critically examine the reasons and suggest remedies.
7) Discuss in the need for enhancing participation of domestic and foreign players in insurance sector of India. Enumerate steps taken by Government in this regard. (भारतीय बीमा क्षेत्र में घरेलू और विदेशी खिलाड़िओ की भागीदारी बढ़ाने की आवश्यकता पर चर्चा करें। इस संबंध में सरकार द्वारा उठाए गए कदमों की सूचि दीजिए)
8) Critically examine the need and feasibility of providing agriculture-debt waiver to small and marginal farmers of India. (किसानों को कर्जा माफी देने की जरूरत और व्यवहारिकता पर गंभीर समीक्षा कीजिए।)
9) "Soft-touch regulations & Ease of doing business are not free from limitations. Sometimes good governance requires strict oversight. Comment. (नरम नियमावली और व्यापार करने में आसानी सीमाओं से मुक्त नहीं हैं। कभी-कभी अच्छी शासन व्यवस्था के लिए कड़ी निगरानी की आवश्यकता होती है।)"
10) "India's demographic change is a boon for economy, but can become a bane for the pension sector". Discuss (भारत का जनसांख्यिकीय बदलाव अर्थव्यवस्था के लिए एक वरदान है, लेकिन यह पेंशन क्षेत्र के लिए एक श्राप बन सकता है) (Hint: needs understanding of pillar#4 and #6)
11) Why has Supreme Court Court ruled that the right to digital access is part of article 21? Discuss the implications of this judgement. (सर्वोच्च न्यायालय ने यह क्यों निर्णय दिया है कि डिजिटल पहुँच का अधिकार अनुच्छेद 21 का हिस्सा है? इस निर्णय के निहितार्थों पर चर्चा करें।)

NEXT Handout: Pillar2: Budget Taxation GST FC Disinvestment FRBM Deficit etc.